



Central Bank
of Armenia

2024 Q4

Monetary Policy Report

Monetary Policy Program

Published December 10, 2024

Contents

01.	Executive Summary	3
	a. Executive Monetary Policy Statement	
	b. Assessment of Economic Conditions & Underlying Forces	
02.	Monetary Policy Objectives and Framework	8
	a. Statement of Long-Run Monetary Policy Objectives	
	b. Framework for Monetary Policy as Risk Management	
03.	Monetary Policy Outlook	13
	a. Global Economy	
	b. Domestic Demand Conditions	
	c. Labor Market & Inflation	
	d. Financial Markets	
	e. Taxonomy of Scenarios	
	f. Monetary Policy Outlook	

In addition to the Monetary Policy Report, the CBA concurrently publishes additional materials on its website, which the reader is encouraged to reference. These include the [MPR Chart Pack](#) (containing statistical charts and tables for global and domestic economic developments as well as the illustrative scenario projections) and the [Transparency Report](#) (providing comprehensive insight into how the Board of the CBA arrived at its decision).

DISCLAIMER The data presented in this report is current as of December 6, 2024.
This report has been updated on December 20, 2024 to correct for minor typographic and formatting errors.

01 |

Executive Summary

A. Executive Monetary Policy Statement

The Board of the CBA today reduced the Refinancing Rate to 7%.

Annual CPI inflation has continued to remain below the target, registering 1.4% in November 2024. Core inflation has also remained at low levels, at 0.6% year-over-year in October.

In Q4 2024, risks of slowing economic growth globally and in the key trading partner countries of Armenia continue to persist. Global inflation continues to slow; however, the prices of goods and services characterized by sticky prices in key trading partner economies continue to remain relatively elevated. Persistent geopolitical uncertainties, as well as growing tensions in international trade relations, continue to create risks for future growth in global commodity prices and potential disruptions in global supply chains. At the same time, labor market conditions in key trading partner countries, particularly the United States, despite some recent easing, labor market conditions remain tight. Conversely, uncertainty about the scale of impacts of fiscal policy on aggregate demand conditions in US, also the resulting long-term interest rates, has significantly risen. In this context, advanced economy central banks would be expected to continue to gradually ease policy rates in the near term, while still maintaining a relatively tight stance. Consequently, the external environment would be expected to transmit weak inflationary pressures on the Armenian economy.

Economic activity in Armenia continue to approach its stable, long-term growth levels. Growth in economic activity has largely been driven by meaningful growth in construction, services, and trade. These dynamics continue to be impacted by certain short-term factors, posing significant uncertainty with respect to the sustainability of economic growth and its long-term outlook, as well as the future trajectory of domestic demand and consumption conditions. In this context, external demand for domestic services continues to be adjusted. Labor market conditions continue to somewhat cool amid these conditions, as reflected in stabilizing wage growth, non-traded sticky price inflation, and inflationary expectations. At the same time, risks for additional demand pressures stemming from fiscal policy persist.

In order to manage possible risks stemming from conditions of high uncertainty, the Board considers multiple scenarios during its deliberations. On the one hand, the Board discussed scenarios where possible underlying developments would require a higher path for the policy rate relative to current market expectations. These Case A-type scenarios include those related to uncertainty about the formation and prolonged persistence of excess demand in the domestic economy, and the long-term interest rate. These developments require a policy response that is more stringent compared to market expectations in order to manage the risks of ensuring price stability. On the other hand, the Board discussed Case B-type scenarios, including those related to the gradual slowdown of the construction sector, weakening demand, and the risks associated with the prolonged sustaining of a low inflation environment. This would imply a more rapid and aggressive downward path for the policy rate than what is currently priced in markets in order to sustainably stabilize inflation at the target in the medium-term horizon.

While the Board believes that though there is a greater likelihood of Case B-type scenarios materializing, it emphasizes the importance of minimizing the losses that could stem from the Case A-type risks. The Board thus finds it appropriate to continue to gradually ease the policy stance. The Board resolutely affirms its commitment to adopting the appropriate policy actions and strategy to ensure the price stability objective of 4% inflation in the medium term.

Approved by the Board of the Central Bank of Armenia
December 10, 2024

Governor

Martin Galstyan

Deputy Governor

Armen Nurbekyan
Hovhannes Khachatryan

Board Members

Hasmik Ghahramanyan
Artak Manukyan
Levon Sahakyan
Narek Ghazaryan

B. Summary of Economic Conditions

Global Economy

In Q4 2024, economic activity among Armenia's main trading partners has been mixed. On one hand, high economic activity persists in the US and Russia, driven largely by robust growth in domestic consumption, particularly in the services sector. On the other hand, activity in the China has slowed due to weakening domestic demand. In the Euro Area, economic growth, has slightly accelerated but remains low. Risks of slower economic activity globally remain latent.

Uncertainty regarding economic fundamentals in the United States persists. Despite elevated market interest rates over the recent quarters, the US continues to experience strong growth, spurred by consistently robust consumption and domestic demand conditions. In Q3 2024, economic growth stood at approximately 2.8%, with the expansion in gross consumption contributing around 2.5 p.p. to this growth. At the same time, financial asset prices rise, posing risks of consumption remaining at elevated levels. In this context, while overall inflation is gradually nearing target levels, sticky prices and wage growth remain significantly above their target levels. These highlight the challenges that monetary authorities face in the "last mile" of bringing inflation back to target and maintaining long-term price stability.

Risks of a more expansionary fiscal policy stance in the US have notably increased, particularly in the medium term. This poses an additional challenge for monetary policy both in terms of short-term inflationary effects as well as its potential impact on the neutral interest rate, especially if a substantially higher debt burden materializes.

On the other hand, continued tightening of financial conditions and the lending environment poses risks of further, undesirable weakening in the labor market. However, it is important to note that these risks have somewhat eased in recent months. Looking ahead, the key uncertainty relates to the pace and magnitude of future policy easing, considering the potential for a rapid adjustment of the economy and still-strong consumption and demand conditions. The latter additionally raises questions about a potentially higher underlying neutral rate in the US, which would have implications on both the future stance of Fed policy and capital flows to emerging markets.

In the Euro Area, the European Central Bank (ECB) cut interest rates by 25 basis points in October 2024, marking the third decrease this year. While growth in the services sector—fueled by increased external demand—has contributed to a modest rebound in economic activity over the course of 2024, concerns regarding growth prospects and structural challenges in manufacturing sector persist. Declines in overall inflation are driven by a reduction in goods price inflation, while services inflation remains elevated, highlighting a growing divergence between these two sectors of the

economy. This poses significant challenges for the pace of policy adjustments and the pursuit of long-term price stability.

Risks associated with persistently weak domestic demand in the Euro Area and China continue to remain key sources of uncertainty driving a weaker global economic outlook.

Meanwhile, Russia has maintained robust growth and strong domestic demand, supported by expansionary fiscal policy and notable increases in private expenditures. In this environment, intensified competition for labor between the defense industry and the private sector amid tight labor market conditions may heighten inflationary risks. Despite the significant tightening of policy conditions by the Central Bank of Russia, no significant progress has yet been observed in controlling inflation. Additionally, the sustained imposition of stricter and more targeted Western sanctions, as well as the monetary policy tightening, pose risks to the medium-term Russian economic outlook.

In the global commodity markets, food prices experienced a solid increase in November, primarily driven by adverse weather conditions, exceeding 2023 levels. Nevertheless, considerable uncertainty remains regarding the medium-term outlook for commodity markets. Heightened geopolitical tensions in the Middle East continue to threaten both higher and more volatile energy prices as well as potential disruptions to global supply chains. Conversely, further weakening in global demand may lead to deflationary pressures in commodities.

Domestic Demand Conditions

In Q3 2024, economic growth in Armenia continued to slow somewhat, approaching the estimated level of long-term sustainable growth at 5.2% Y-o-Y. The construction, trade, and services sectors remain the major growth drivers, though growth in recent months has been somewhat less concentrated in specific sectors compared to previous quarters. Nevertheless, the structure of growth continues to pose high uncertainty regarding the relative position of aggregate demand versus aggregate supply.

The robust external demand observed since 2022 has been gradually weakening in 2024, as reflected in the stabilization of both real expenses per tourist and tourist arrivals. Exports of other, "traditional" product groups—e.g., brandy, cigarettes, mineral water, and so on—remain stable and show modest signs of expansion. Nevertheless, risks remain regarding the growth prospects of these sectors, driven by slow growth in capacity including construction in these sectors, investment goods imports and employment growth.

Meanwhile, considerable uncertainty continues to surround current domestic demand conditions. On the one hand, strong growth in retail trade, consumer credit, domestic tourism, and other services suggest robust domestic demand. In this context, consumer credit rates remain high, reflecting strong demand. Under these conditions market interest rates on loans remain elevated reflecting high demand. On the other hand, recent economic growth has been fairly concentrated in certain sectors, remittances have continued to decline, and labor market conditions have somewhat eased. These factors, coupled with the overall weak inflationary environment for several successive quarters, could point to weaker demand conditions in the economy.

Uncertainties also surround the outlook and future trajectory of domestic demand conditions. Key uncertainties relate to the reduced debt burden (given higher incomes) and the future utilization of accumulated savings in the private sector. For example, depending on how and in which direction savings are spent (consumption vs. investment), this could have different implications on the relationship between aggregate demand and aggregate supply in the economy.

Additionally, risks for demand pressures stemming from fiscal policy remain. This is driven by concerns over revenue underperformance and high current expenditures necessitated by various social support programs.

Labor Market & Inflation

Labor market data has offered mixed signals in recent months. The household survey-based unemployment rate in Q2 2024 stands at 13.8%, representing an increase of approximately 2 percentage points relative to the same quarter of last year. Considering the uncertainty surrounding the level of unemployment, it is important to monitor potential development scenarios and their implications.

On the one hand, this trend could signal weakening demand conditions across the economy. The increase in the unemployment rate has not been driven by a significant rise in labor supply compared to the previous year, but rather by a decrease in the number of employed persons—approximately 20 thousand. This aligns with the observed some outflow of foreign workers, such as Indian citizens, over the course of this year.

On the other hand, data from the State Revenue Committee indicates that the total number of registered employees has risen, with about 34 thousand more employed compared to the same period of last year. This could suggest that labor conditions are tighter than what the household survey suggests. Alternatively, the growth in registered employees might also reflect a gradual decline in the shadow labor market in favor of formal employment.

In recent months, some acceleration has been observed in private sector wage growth. However, it remains below levels

consistent with productivity growth and inflation target. In the medium and long term, a potential increase in labor supply could contribute to further easing of labor market conditions and labor market-driven inflationary pressures. The main uncertainty is tied to the Russia's economic growth prospects and the potential decline in the flow of Armenian labor migrants to Russia amid the current depreciation of the ruble, as well as the challenges of integrating them into the domestic labor market.

The weak inflationary environment has persisted in Q4 2024, primarily driven by moderate deflationary pressures coming from the external environment as well as weakening of external demand for certain domestic services. In this context, overall CPI inflation has remained below target since April 2023, standing at 1.4% Y-o-Y in November 2024. Non-Traded Sticky Price Inflation, which captures domestically driven demand dynamics, continued to stabilize, standing at 2.5% Y-o-Y in October 2024. The recent increase in international food prices has not been yet fully transmitted into domestic prices. On the other hand, the deflation of imported non-food products persists, primarily driven by the ongoing decline in producer prices in China's economy. Further, inflation in services highly exposed to external demand has continued to decline, reflecting trends of slowing demand. In this context, households' inflation expectations have moderately decreased, approaching the target.

Monetary Policy

Market expectations regarding the CBA policy rate path have adjusted very slightly downwards since the latest decisions, and continue to reflect expectations of a gradual reduction in the policy rate over the next eight decisions. Following the CBA's recent policy rate announcements, the yield curve have shifted slightly upward. This may be attributed to various factors, including short-term influences, the faster-than-expected growth in domestic public debt levels, sustained strong demand for lending as an alternative investment, and more gradual-than-anticipated rate reductions in the global economy, particularly in the United States, among other factors. Additionally, according to CBA estimates, the yield curve likely incorporates not only market expectations about the future policy rate but also various other risk factors.

Armenia's country risk premium has moderately declined in recent months and remains significantly below the long-term stable level determined by the country's fundamentals. However, it still reflects uncertainties related to debt sustainability, geopolitical tensions, including border issues, and regional developments. In this context, an upward reappraisal of the country risk premium could pose risks regarding the reassessment of neutral rates, which, all else being equal, would primarily carry inflationary risks in a more accommodative monetary policy environment. At the same time, macroeconomic stability in Armenia and strong economic growth can serve as important preconditions for a

potential reassessment of the country risk profile with impacts on the neutral rate.

Considering the persistence of numerous types of uncertainty, the CBA builds and evaluates several different scenarios for future economic developments in order to manage possible risks stemming from these key areas of uncertainty. The illustrative Case A scenario outlined in the Monetary Policy Report, which necessitates a policy rate path higher than market expectations, is grounded in the assumption that continued above-potential, demand-driven growth indicates the persistence of excess demand conditions in Armenia. On the other hand, the high savings accumulated in the private sector, the strong credit expansion and expected high demand for loans, and the increase in income derived from positive developments in exports may further contribute to the acceleration of private expenditure growth in the near future. In addition to these factors, the formation of a more expansionary fiscal policy poses another tangible risk to the expansion of domestic demand. Moreover, a faster-than-expected increase in the debt burden could pose certain upward risks to the country risk premium and, consequently, result in an upward revision of the neutral interest rate. In this scenario, the CBA policy rate path would need to adopt a

tighter stance relative to market expectations in order to ensure price stability in the medium-term horizon.

The illustrative Case B scenario outlined in the Monetary Policy Report, which assumes a lower policy interest rate path compared to market expectations, reflects risks of oversupply conditions in the real estate market resulting in a gradual price adjustment in the economy. This could result in both a slowdown in construction and a decrease in real estate prices and rents, potentially having a significant negative impact on domestic demand and the inflationary environment. Presently, certain initial signs of slowing real estate activity have been observed, particularly considering slowing construction activity in Yerevan. In such a situation, the Central Bank would adopt a looser policy interest rate path compared to market expectations, with the aim of stimulating demand and bringing inflation to the target in the medium term.

In the context of the latent risks and uncertainties in the current period, the CBA builds and discusses various scenarios, summarized in the Taxonomy of Scenarios, with the aim of managing possible risks and assessing sources of uncertainty. At the same time, the MPR includes a deeper dive into two illustrative scenarios, which reflect illustrative future paths of the economy that would require either a higher path for the policy rate (Case A) or a lower path of the policy rate (Case B) relative to current market expectations. These illustrative scenarios do not represent a most-likely future, assign weight or probability to outcomes, or include all possible risks and uncertainties.

02 |

Monetary Policy Objectives & Framework

Statement of Long-Run Monetary Policy Objectives

Adopted effective March 12, 2024

As enshrined in “The Law of the Republic of Armenia on the Central Bank of Armenia,” the primary objectives of the Central Bank of Armenia are to ensure price stability and financial stability. The Board of the CBA is committed to using its full suite of monetary policy instruments to achieve its price stability mandate and provide a nominal anchor for the economy.

We emphasize that the primary objectives of price stability and financial stability are a means to an end. The ultimate purpose of the CBA as an accountable public-sector institution is improving the welfare of our nation. Our commitment to achieving low and stable inflation provides a credible nominal anchor for the economy and thereby anchors inflation expectations, helps to avoid inefficient boom-bust cycles, stimulates investment, supports the economic development of the country, and improves living standards over time.

The CBA develops and implements monetary policy to achieve its price stability objective. The fundamental role of monetary policy is to provide an anchor for inflation and inflation expectations. The Board believes that a four percent inflation target is consistent with its price stability mandate. The inflation target is expressed in terms of the Consumer Price Index (CPI), since it is the best measure of the cost of living and final consumption expenditures, and is the primary reference point for market participants when making planning decisions and setting contracts. Nevertheless, the overall CPI basket of goods and services includes several items that are subject to seasonal fluctuations and global economic developments, which are not directly influenced by monetary policy. We therefore consider alternative measures of inflation, such as core and non-traded sticky prices, which can provide useful information on the underlying inflationary environment.

The CBA’s primary means of adjusting the stance and path of monetary policy is through changes in the expected path of short-term interest rates. If interest rates were to be constrained by the effective lower bound, the Bank would be prepared to use its full range of policy tools.

While emphasizing the primacy of achieving the price stability and financial stability mandates over the medium term, the CBA recognizes that it is also responsible for managing the short-run tradeoff between inflation and output. In an open market economy, periodic economic and financial shocks cause economic activity and inflation to fluctuate over time. In this context, the CBA does not target CPI inflation on a period-by-period basis and does not attempt to bring CPI inflation back to the target in the short term if it would result in undue economic and financial instability. In any economic situation, the CBA seeks to develop and implement monetary policy in a manner that brings inflation to the target in the medium-term (12 quarter) horizon, while minimizing associated social costs through a “least regrets” approach.

Effective monetary policy improves welfare by anchoring long-term inflation expectations and reducing the volatility of output and unemployment. Avoiding excessive volatility in the economy can result in substantial improvements in welfare by reducing average levels of unemployment and raising the productive capacity of the Armenian economy. The Bank emphasizes that placing weight on other near-term objectives must not be inconsistent with its primary responsibilities of achieving its four percent target in the medium term and maintaining price and financial stability.

The Board places great emphasis on the importance of communicating its policy and decision-making framework to the public in a clear and comprehensible manner. Clear and effective communication helps make policy more effective, and encourages financial markets, businesses, and the general public to better understand and manage risks and uncertainties. Moreover, this communications approach plays an important role in enhancing the transparency of monetary policy and central bank accountability, which is a key priority for the CBA as an independent public sector institution.

The Board will review and renew the Statement of Long-Run Monetary Policy Objectives during the first decision-making cycle of each year.

Framework for Monetary Policy as Risk Management

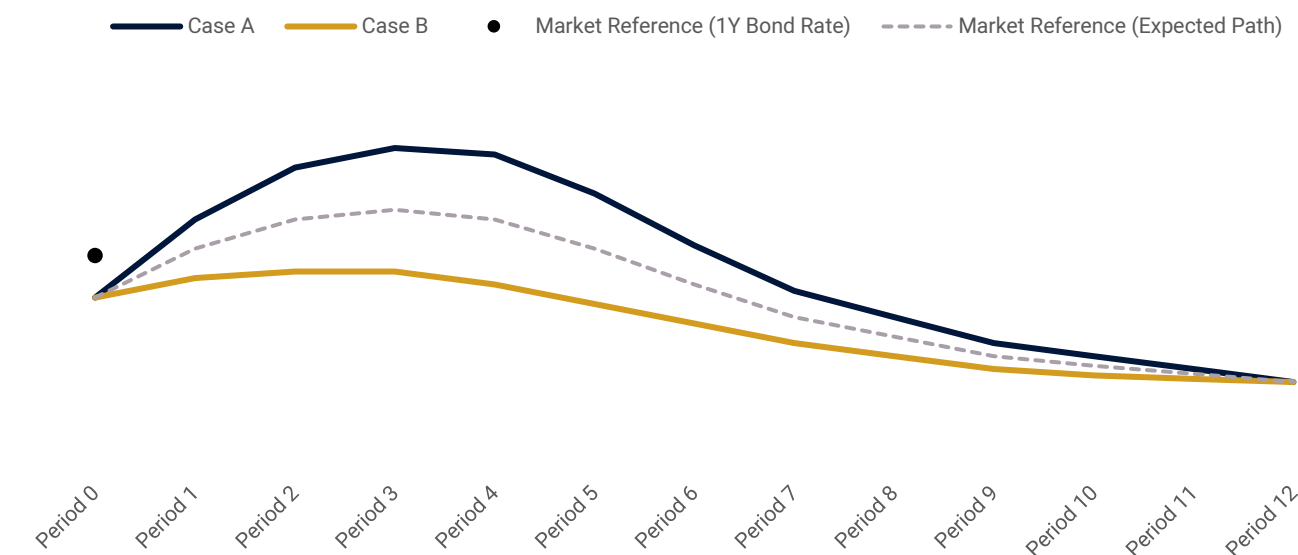
The CBA conducts monetary policy within a risk management framework to analyze and communicate the uncertainty surrounding the economic outlook more effectively. Our approach is to consider alternative scenarios for the evolution of the Armenian economy that have important implications for monetary policy. Elevated uncertainty is a reality that central banks must manage, and we do this by explicitly incorporating it into our framework and communication. We develop and analyze multiple scenarios that would imply a higher or lower path for interest rates than is currently priced in financial markets. At the same time, to steer the policy discussion and communication, we develop two or more illustrative scenarios. These scenarios should not be interpreted as pure risk scenarios, but are meant to represent plausible paths for the policy rate that could be consistent with managing monetary policy risks and concerns in an individual's economic scenario.

Market Reference is the expected path of the policy rate that is currently priced in financial markets. Ideally, if financial markets in Armenia were more developed, and there existed a derivative market for the policy rate, then we could construct an expected path based solely on market information. We therefore use the 1-year government bond yield, which should reflect the expected average policy rate over the next 12 months, plus some compensation for term premium. In addition, we conduct high-frequency surveys of market participants before, during, and following each decision-making cycle as another reference point for expectations of the policy rate.

Case A reflects a scenario that incorporates economic and financial developments that would require a higher interest rate path than what is currently priced in financial markets that is consistent with guiding the economy back to its long-run equilibrium and to achieve price stability objective.

Case B reflects a scenario that incorporates economic and financial developments that would require a lower interest rate path than what is currently priced in financial markets that is consistent with guiding the economy back to its long-run equilibrium and to achieve price stability objective.

Figure 2.1: Alternative Paths for the Policy Rate



Source: CBA

Note: For Illustrative Purposes Only

To learn more about the Central Bank of Armenia's approach to monetary policy, refer to the draft book, [Prudent Risk Management Approach to Monetary Policy: Theory and Practice of FPAS Mark II at the Central Bank of Armenia](#), edited by Douglas Laxton, Martin Galstyan, and Vahe Avagyan (2024).

Box 1. Inflation Target in Armenia¹

A reliable and clearly communicated inflation target is an important benchmark for businesses in decision-making, setting contracts, and forming inflation expectations. Over time, the Central Bank may consider it necessary and appropriate to revise the inflation target to best reflect the long-term structural characteristics of the economy, its driving forces, and the vision for the country's future economic development and improvement of the country's wellbeing.

Modern economic literature asserts that an inflation target of zero is the best and most optimal medium-term inflation target that is consistent with price stability. However, the literature also identifies a number of arguments that can explain why a low positive target is chosen in practice. These include factors relating to the zero lower bound of the nominal interest rate, downward rigidities for prices of factors of production (especially wages), and statistical errors in calculating inflation. Taking these factors into account, a low, positive inflation target is considered an acceptable and optimal solution.

Since the adoption of the inflation targeting strategy in 2006, the Central Bank has consistently achieved the proposed 4% inflation target. As such, between 2006 and 2024, the average year-over-year rate in Armenia has stood at approximately 3.9% (Figure B.1.1). This is the most important indicator of the success and effectiveness of the CBA's monetary policy. However, it is important to note that this has not fully translated to the public perceiving price stability, as during various regional and internal shocks, the Armenian economy often faced risks of inflation and deanchored inflation expectations. The prevalence of similar situations over the course of Armenia's monetary policy history may offer signals that the 4% target may currently not be consistent with the definition of true price stability, or that maintaining price stability in line with a 4% target may come at the expense of significant social costs.

Throughout the implementation of the inflation targeting strategy, the CBA Armenia has made significant investments in developing the Forecasting and Policy Analysis System (FPAS) for monetary policy. Investments in the FPAS over time have laid a solid foundation for implementing wide-ranging reforms in this direction in the present period. Against this background, in 2024, the Central Bank of Armenia officially introduced an innovative and progressive approach to monetary policy aimed at prudently managing risks and uncertainties.

In recent decades, Armenia's economy and economic situation have improved significantly, becoming more robust, diversified, and globally interconnected. Parallel to this economic growth and development, the central bank's framework and strategy for price stability and monetary policy have also undergone fundamental changes and developed in several stages, providing a stronger and more robust foundation for prudently managing a growing layering of risks and uncertainties. In recent years, the Armenian economy has benefitted from consistent structural and institutional improvements, while the financial system has made significant strides in becoming more developed and robust, whether in terms of its depth, diversity of sectors, or significant expansion of its toolkit. It is also worth mentioning that with the successes achieved in the fields of monetary and macroeconomic policy as well as in developing robust policymaking frameworks, Armenia is currently "classified" by international experts and investors as a country with a leading monetary policy framework. Therefore, setting a lower and consistent inflation target is also an important factor from the perspective of Armenia's international reputation and rating.

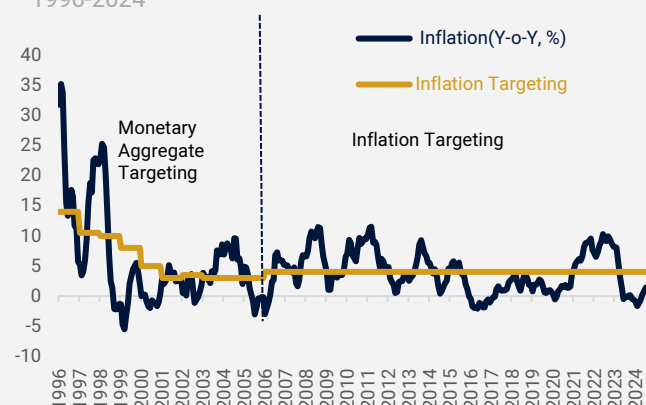
Extensive global experience in the implementation of monetary policy and the available research confirm that ensuring low inflation significantly reduces uncertainties associated with future monetary policy and price developments, contributing to the reduction of volatility in the pricing process and creating a favorable environment for sustainable economic growth. This is due to the increased predictability of investment and savings results in a low-inflation and low-volatility environment - which are positively correlated (B.1.2) - the extension of investment terms, as well as the formation of relatively

low nominal interest rates. In a low-inflation environment, firms and households do not need to incur various costs to avoid inflation or to effectively plan for consumption and savings. In this context, it can be argued that ensuring low stable inflation is not an end in itself and is an important guarantee of long-term sustainable economic growth. As the analysis of various countries' high economic growth situations during different time periods shows, if we filter out the situations that ended with instability and economic crises, then stable high economic growth was usually accompanied by the development of low—on average 3%—inflation developments. It is no coincidence that, in most countries, the goal of price stability delegated to central banks is considered as the basis for societal welfare and/or long-term sustainable economic growth.

Considering the above, recent developments and achievements in Armenia's economy and monetary policymaking framework provide a solid foundation for the Central Bank of Armenia to continue working to strengthen public confidence in monetary policy, develop the monetary policy framework, and implement large-scale, long-term reforms. This includes setting a lower inflation target that is consistent and compatible with the perception of true price stability and the current structure of the financial and economic system.

From 2006 To 2024, The Average 12-Month Inflation Rate In Armenia Was Approximately 4.0%.

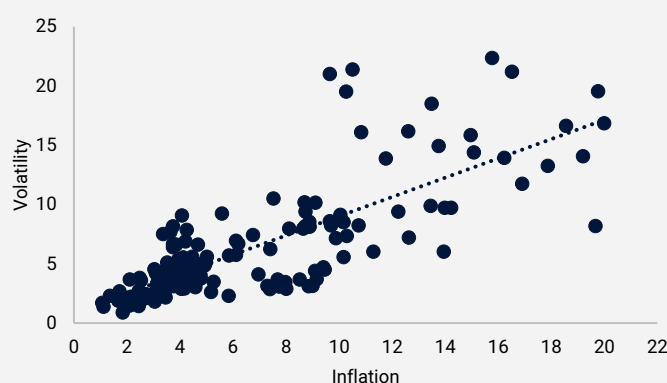
Figure B.1.1 Inflation and the Inflation Target in Armenia, 1996-2024



Source: Statistical Committee of the Republic of Armenia; CBA

Maintaining Low Inflation Significantly Reduces Uncertainties Related To The Future Path Of Exchange Rates And Price Developments.

Figure B.1.2. Inflation and the Inflation Target in Armenia, 1996-2024



Source: Statistical Committee of the Republic of Armenia; CBA

¹ See more in Avetisyan Igityan and Papikyan, "Inflation Targeting in Armenia", Central Bank of Armenia, October 2024.

Report Structure

The MPR begins with the Executive Summary, which provides the Statement by the Board of the CBA as well as a high-level assessment of economic conditions and underlying forces. The Executive Summary is also issued as a standalone document, known as the Executive Monetary Policy Statement.

Section III presents in greater detail the CBA's implementation of this policymaking framework. It begins with an assessment of the first two ingredients essential for economic analysis: where is the economy now, and what are the underlying forces driving the economy. This section also communicates how the CBA is managing current risks through a framework of "least regrets." This includes a taxonomy of different types of scenarios that may be relevant in the current policy round, reflecting a summary of the universe of major issues the Board and Staff of the CBA, as well as external stakeholders, are concerned about. Against this context, the MPR presents two or more illustrative case scenarios representing what the CBA will do with its policy instruments in order to reach its objectives.

The statistical appendix is published as a separate file, known as the MPR Chart Pack, which contains charts and tables for relevant economic variables, as well as key projections from the illustrative case scenarios.

Importantly, the MPR of the CBA is published on the same day as the policy decision is made by the Board of the CBA. This is intended to provide the public with sufficient detail and narratives that describe the framework and analysis that led to the decision in a near-real-time manner. Following the decision and press conference, a separate Transparency Report is released, containing more detailed information about how the Board came to the specific decision during the Board meeting.

Disclaimer

The information presented in this report is based on actual data available by December 6, 2024 as well as the results of the surveys conducted by the CBA and judgments made pursuant to the information on future developments of the macroeconomic environment.

The Monetary Policy Report serves as the chief monetary policy communications vehicle for the Central Bank of Armenia, and is published on a quarterly basis. The MPR has been designed to be a user-friendly document that covers key policy-relevant issues but remains accessible to technical and non-technical audiences alike. The report is structured to follow a narrative format that helps illustrate the key issues, risks, and uncertainties that drove the Board's thinking in the current decision-making round and how it arrived at its policy decision. Not all data, analysis, or issues can be reasonably included in the MPR in every quarter without overwhelming the reader or overshadowing key messages. For this reason, the MPR is supplemented with a Chart Pack that provides a complete and comprehensive overview of the current and underlying economic environment.

A decision made by the CBA Board today will affect inflation with a lag. The illustrative scenarios are chosen and designed by our Monetary Policy Department's economists to describe plausible paths of the economy under different risks. Importantly, the selected illustrative scenarios are two of many possible scenarios that the Board considers when making its decisions, which are represented in the Taxonomy of Scenarios in Section III. During each policymaking cycle, the Board is engaged in dynamic discussions and information-sharing with the Staff related to understanding the current position of the economy, its underlying drivers, and key sources of policy-relevant risk and uncertainty. These discussions, including the process through which the Taxonomy of Scenarios is developed and the illustrative scenarios are selected and quantified, are an important input for Board deliberations. The Taxonomy of Scenarios and the selected illustrative scenarios are produced four times a year and are a key, but not the only, input to the CBA Board's monetary policy decisions.

All monetary policy reports which have been published to date are available on the CBA's website (www.cba.am), which also contains all press releases, working papers, and other monetary policy-related publications.



Central Bank
of Armenia

03 |

Monetary Policy
Outlook

A. Global Economic Developments

United States Economy

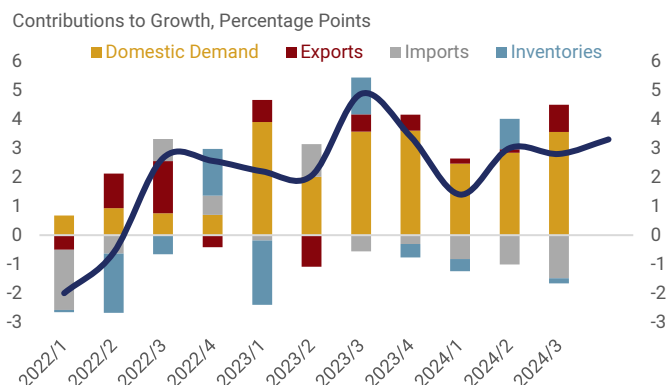
Economic growth in the US remains strong, reaching 2.8% in Q3, which is significantly higher than the estimated potential growth rate. Consumption, particularly of services, continues to be the main driver of growth. Wages continue to grow at elevated rates, while the sustained rise in asset prices contributes to the accumulation of significant household wealth in recent years. These factors, along with expansionary fiscal policy, could support high consumption in the near future, driving above-potential GDP growth. Sustained high growth rates of private consumption amidst elevated market interest rates may indicate risks that the neutral interest rate is at a higher level than anticipated. Additionally, a more expansionary fiscal stance and increases in the national debt could pose upward risks to the neutral rate in the medium term. Nevertheless, recent developments in the U.S. economy may also point to certain arguments in favor of weakening aggregate demand conditions. For instance, delinquency rates on credit cards and auto loans—both highly sensitive to interest rates—continue to rise, while consumer confidence is declining. This indicates that tight financial conditions are imposing certain constraints on specific segments of the economy.

Uncertainty around US economic fundamentals remains high. While the inflationary environment continues to gradually ease, underlying inflation measures, including sticky prices, remain well above target. This carries risks of inflation expectations staying elevated. In this context, despite some moderation, wage growth remained elevated in the third quarter of 2024, posing risks to achieving a stable path toward the inflation target. At the same time, uncertainties surrounding labor market conditions persists. However, a number of indicators even point to an increase in labor market tension compared to the previous quarter. Thus, in recent months, the pace of job placement has started to rise, while the number of new jobs per unemployed person and the number of workers leaving their jobs have decreased. On the other hand, the unemployment rate has slightly declined, reaching 4.1% in October.

The primary challenges for monetary policy are balancing the goal of bringing inflation to target and ensuring the commitment to price stability, as well as managing risks of further weakening in the labor market amidst a tight monetary and credit environment. Considering recent developments related to these risks, financial markets assess that the Fed will ease monetary conditions more gradually than previously expected. Further, in the short and medium term, there are predominantly inflationary risks, driven both by the formation of a more expansionary fiscal stance and by uncertainties related to the potential tightening of external trade policy. At the same time, there remain high uncertainties in the U.S. regarding the medium-term neutral interest rate (see Q2 2024 MPR), which could influence both the future direction of U.S. monetary policy and the formation of long-term interest rates in the U.S., with impacts on capital flows to emerging markets.

Consumption Remains the Primary Driver of Economic Growth, Well above Potential Growth Estimates

Figure 3.A.1: Contributions to US Real GDP Growth

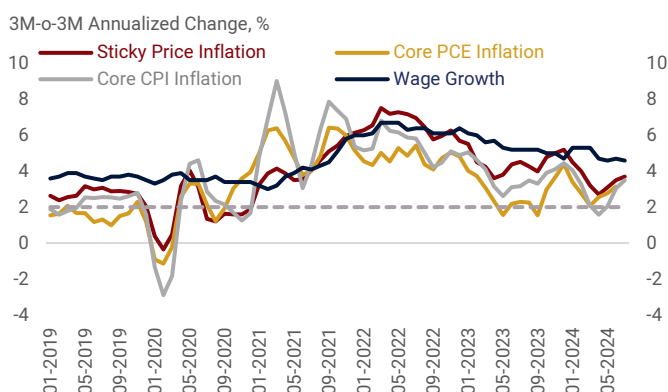


Source: Bureau of Economic Analysis (BEA), Federal Reserve Bank of Atlanta

Note: Data for Q4 2024 are preliminary, based on the Atlanta Fed's "GDPNow" estimate as of September 4.

Despite Some Easing in the Inflationary Environment in Recent Months, The Federal Reserve's Challenge Of Bringing Inflation Closer To Its Target Remains Significant

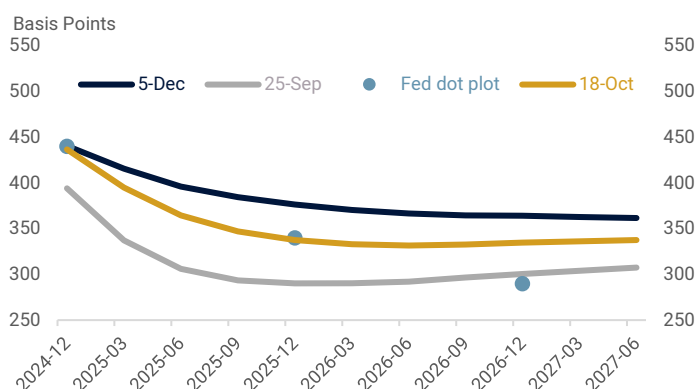
Figure 3.A.2: Underlying Inflation Measures, US



Source: BLS; BEA; Atlanta Fed

Financial Market Participants in the U.S. Believe that the Federal Reserve Will Implement a Slower Pace of Monetary Policy Easing

Figure 3.A.3: Market Expectations of FED Funds Rate Path



Source: Atlanta FED, Federal Reserve Board

Eurozone Economy

Despite some signs of recovery during the first three quarters of 2024, significant uncertainties persist regarding the Eurozone's medium-term economic growth prospects. In the third quarter of 2024, the Eurozone economy grew by 0.9% year-on-year and 0.4% quarter-on-quarter (Figure 3.A.4). In this context, the continued manifestation of growth, primarily driven by external demand expansion (especially in exports of services), may indicate that imbalances between aggregate demand and supply in the economy are still persisting, contributing to the maintenance of high inflation in certain sectors.

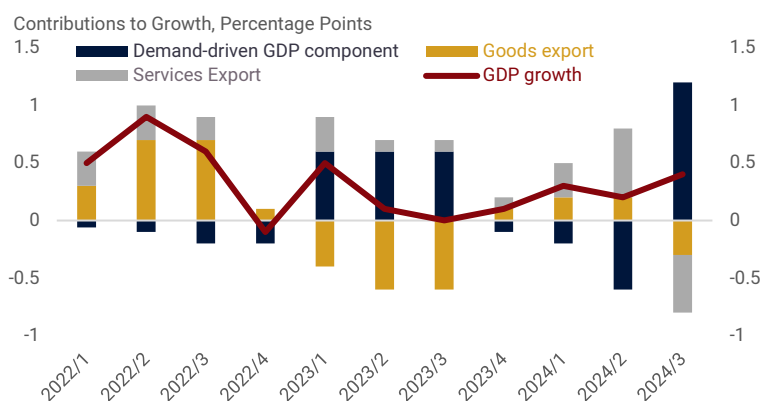
In the Euro Area, PMI indicators, which provide critical insights into the overall economic environment, indicate that recent growth in the Eurozone has been primarily driven by the services sector (Figure 3.A.5). The continued growth of real disposable incomes and high levels of savings pose risks of a potential acceleration in consumption, which could become the driving force behind growth, particularly in services. On the other hand, the industrial sector, especially manufacturing, continues to face structural weaknesses, notably in industrial economies such as Germany and France. In this context, the still restrictive monetary policy conditions, slow recovery from the energy crisis, tightening of external trade, and the risks of losing competitiveness in international markets in recent years remain key challenges for the sector. It is also important to emphasize that uncertainty about the growth outlook is increasing, driven by the potential tightening of external trade policy by the U.S. and the risks of further slowdown in China's economic growth. Additionally, due to the market's assessment of these risks, there has been a recent depreciation of the nominal euro exchange rate.

The inflationary environment in the Eurozone continues to stabilize. In October 2024, a year-on-year inflation stood at 2.0%, primarily due to a decline in goods prices. However, under the pressures transmitted from the labor market, indicators of core inflation, particularly services inflation, remain at stable, high levels, around 4.0% year-on-year (Figure 3.A.6). In October 2024, the unemployment rate in the Eurozone decreased slightly to 6.3%, marking a historically low level. This may indicate that labor market conditions remain tight.

In the context of structural issues, the uncertainty surrounding the economic outlook, as well as the continued high inflationary pressures in certain sectors of the economy, highlight the challenges the ECB faces in bringing inflation closer to its target. In these conditions, although the ECB continued to reduce its policy interest rate by 25 basis points in October 2024, the uncertainty around the policy trajectory remains, especially given the inflationary effects stemming from the tight labor market.

A Stagflationary Environment in the Eurozone Could Test the ECB's Resolve in Achieving its Price Stability Target in a Timely Manner

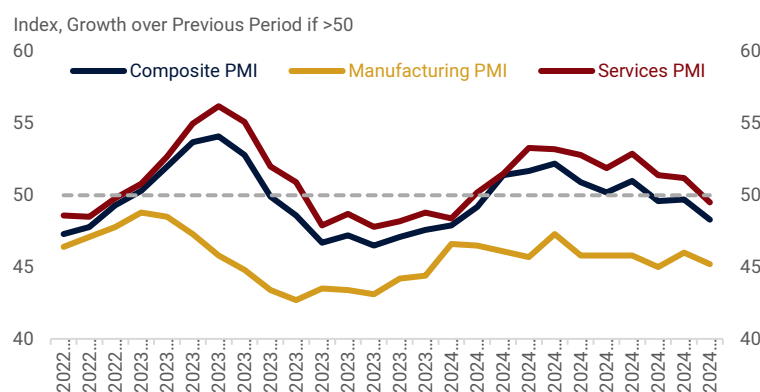
Figure 3.A.4: Contributions to Euro Area Real GDP Growth, Q-o-Q



Source: Eurostat

The Services Sector Remains the Primary Driver of Economic Growth, While Manufacturing Continues to Face Structural Weaknesses

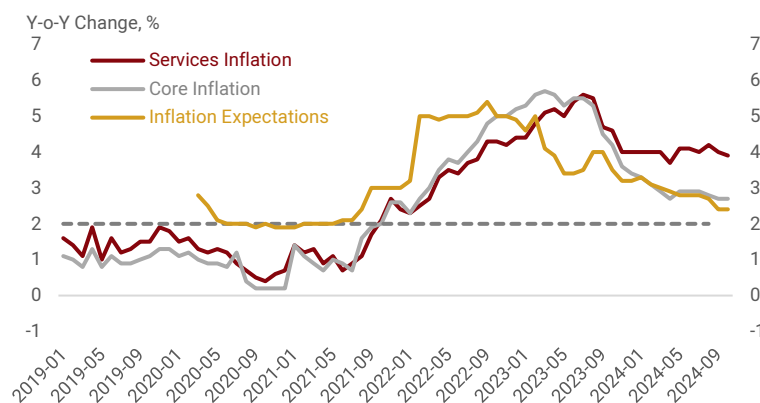
Figure 3.A.5: Composite Purchasing Managers Index (PMI), Euro Area



Source: S&P Global & Hamburg Commercial Bank

Mixed Signals from Core Inflation Indicators Give Rise to Varying Interpretations about the State of the Economy

Figure 3.A.6: Underlying Inflation Measures, Euro Area



Source: Eurostat

Box 2: Chinese Economy

Given China's critical role in the global economy, both from the perspective of aggregate supply and demand (especially for certain raw materials), it is essential to monitor the risks stemming from the Chinese economy. This is particularly important for small, open economies like Armenia, which are sensitive to changes in global demand and fluctuations in international prices. Recently, economic challenges in China have become a source of global concern. These challenges are driven by several structural issues, primarily posing risks associated with prolonged maintenance of a weak domestic demand environment.

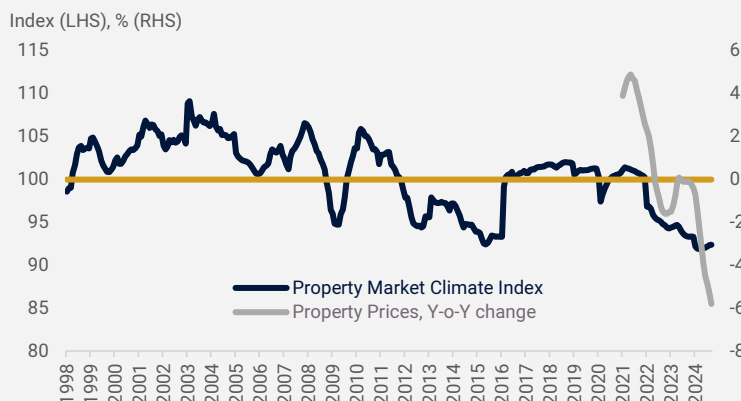
After the full removal of COVID-19 pandemic-related restrictions and especially due to the implementation of significant fiscal stimulus measures, China's economic growth accelerated somewhat in the second half of 2023, averaging around the government's mid-term target of 5%. However, amid ongoing high geopolitical uncertainties (including around China -Hong Kong relations) and especially the continued deterioration of the real estate market situation in China (Figure B.2.1.), there has been a noticeable decline in consumer confidence and overall domestic demand since the second quarter of the current year. Specifically, retail trade growth has gradually slowed, reaching around 2% year-on-year in August of the current year (Figure B.2.2). The inflation indicators also reflect the environment of weak domestic demand. Core inflation has continued to decline in recent months, approaching near-zero levels (Figure B.2.3).

In this context, in order to stimulate domestic demand, China announced significant monetary and fiscal stimulus measures starting from September 2024. Specifically, these measures included reductions in policy and various lending rates, eased borrowing conditions and expanded local government debt limits, enabling a significant increase in public infrastructure investments. These measures have injected some optimism into the markets (the Shanghai Stock Exchange index rose by about 20% following these announcements). Consumer activity has also shown some revival, with retail trade accelerating to 4.8% year-on-year in October.

Nevertheless, despite China's economy has experienced some acceleration in activity due to the implementation of more stimulative policies, deep internal structural issues persist. For example, although household consumption has somewhat recovered in recent years, it remains significantly below pre-pandemic levels. On the other hand, the ongoing geopolitical uncertainties continue, including the potential significant tightening of trade policies by the U.S. towards China. In this context, the risks to achieving the medium-term economic growth target remain tangible, with potential negative impacts on global demand.

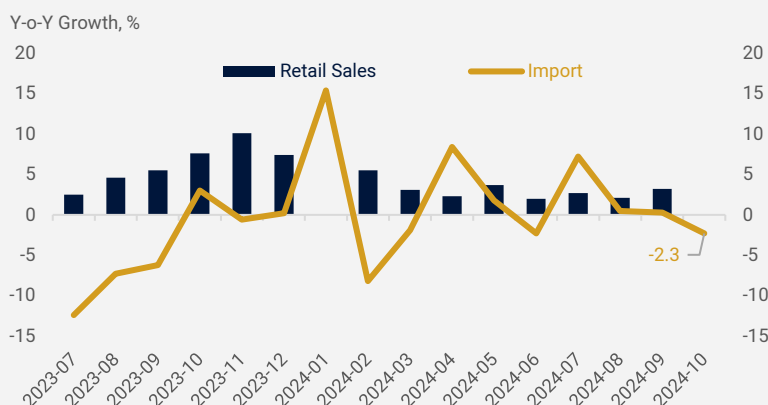
There are Still No Signs of Stabilization in China's Real Estate Market

Figure B.2.1 Environment in China's Real Estate Market



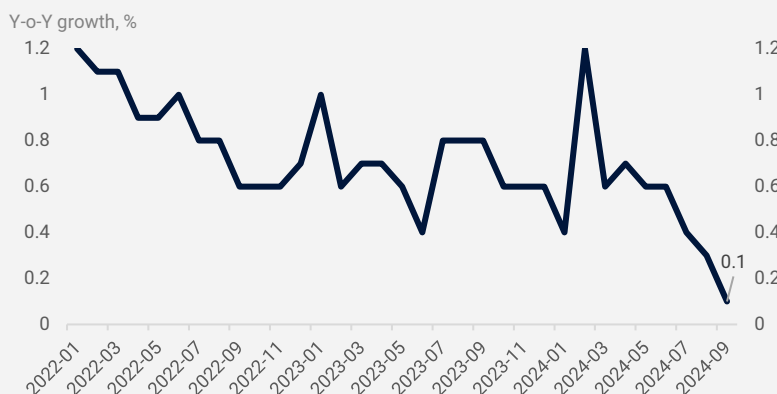
Will Fiscal And Monetary Stimulus Succeed In Restoring Private Domestic Demand To Levels Consistent With Medium-Term Economic Growth Targets?

Figure B.2.2 China's Retail Trade and Imports



The Low Inflationary Environment In China Persists

Figure B.2.3 Core Inflation



Russian Economy

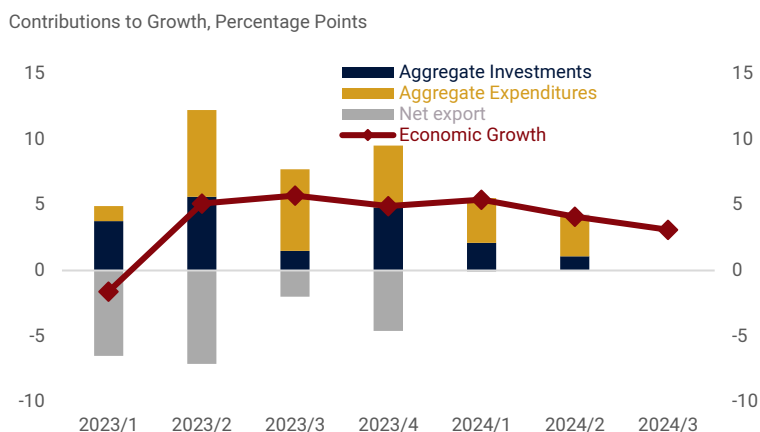
In the third quarter of 2024, despite a slight slowdown in economic growth (3.1% YoY), Russia's economy continued to exhibit overheating conditions (Figure 3.A.7). In certain sectors of the economy, particularly wholesale and retail trade, and industry (especially the defense industry complex), steady and high growth persisted. However, the main driver of growth remains high domestic demand, driven by significant increases in government spending, household incomes, and credit to the economy. Labor market conditions continue to be very tight, with unemployment at a record low 2.4% level in September 2024, and real wages growing at a high pace of around 6.0% (Figure 3.A.8). In this context, domestic demand exceeds the economy's production capacity, and the growing competition between the military and other sectors, along with the continued labor shortage, is limiting further expansion of the economy's productive capacity, thereby contributing to the persistence of a high inflation environment.

In conditions of excess demand in the economy, inflation continues to remain at a high level, reaching 8.5% Y-o-Y in October 2024, mainly driven by the rise in housing, utilities, and food prices. Inflation expectations continue to accelerate, reaching 13.4% in October 2024, significantly above the inflation target. In this context, in October 2024, the Central Bank of Russia raised its policy rate by 200 basis points to 21%, not ruling out the possibility of further tightening of monetary conditions in the near future. However, a much more expansionary fiscal policy than planned (Figure 3.A.9) continues to hinder the efforts to curb excess demand and control high inflationary pressures through high interest rates. It is also important to note that, in the context of ongoing geopolitical uncertainties, there are risks of a more stimulative fiscal stance than planned in the medium term.

At the same time, Russia's economy remains vulnerable to developments in the oil market, where increased volatility and a certain decline in prices are observed, driven by both supply and demand factors. On the other hand, the recent imposition of more targeted sanctions by Western countries (especially on the Moscow Stock Exchange and several Russian banks) and their continued tightening pose risks to Russia's medium-term growth prospects and financial stability. It should also be noted that due to the impact of these factors, coupled with a significant acceleration in inflation expectations in Russia and the gradual easing of capital restrictions imposed on the country's largest exporters, there has been a sharp depreciation of the ruble's nominal exchange rate recently. In these conditions, there are risks of a potential inflationary spiral, not excluding the possibility of further, even sharp, increases in monetary policy.

Domestic Demand Continues to Outstrip Capacities to Expand Production of Goods and Services

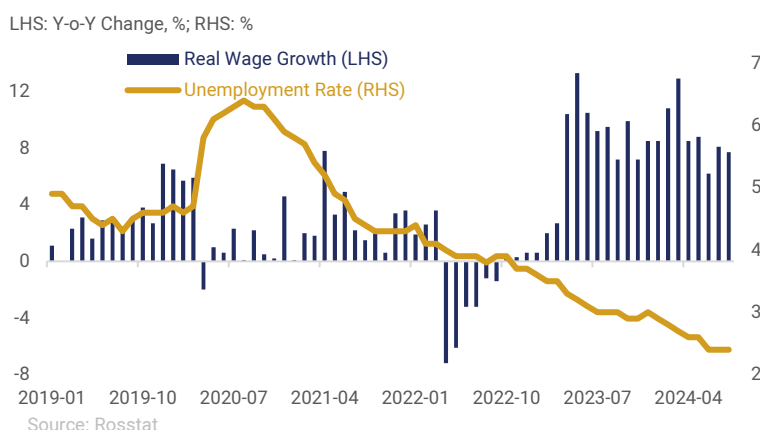
Figure 3.A.7: Contributions to Russia's Real GDP Growth



Source: Bank of Russia

Low Unemployment and High Wage Growth Reflect a Shortage of Labor Supply, Which Limits the Growth of Production Capacities

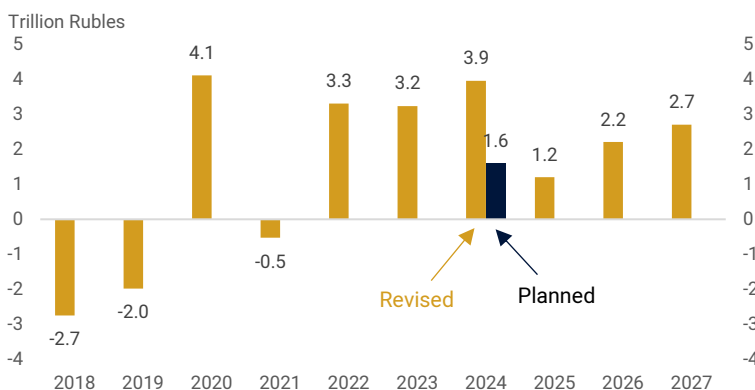
Figure 3.A.8: Unemployment Rate and Real Wage Growth, Russia



Source: Rosstat

Given the Tightening Of Sanctions and the Persistence of Geopolitical Uncertainties, the Fiscal Policy Stance May Remain More Expansionary than Anticipated in the Medium Term

Figure 3.A.9: Russia's State Budget Deficit



Source: Ministry of Finance of Russia

Commodity Markets

Copper: After reaching its highest level in the past two years in May 2024, copper prices began to decline, primarily due to structural issues in the Chinese economy, the largest consumer. Subsequently, copper prices stabilized around \$9,000, influenced by two opposing factors: large-scale fiscal stimulus announced by the Chinese government and risks of tighter U.S. trade policies and a potential slowdown in the "green energy" agenda (Figure 3.A.10). The outlook for the global copper market remains highly volatile due to macroeconomic and country-specific risks. On one hand, the transition to green technologies continues to drive demand. On the other hand, increased market regulations, trade barriers, and uncertainties about global demand pose significant risks.

Oil: Global oil prices have shown considerable volatility in recent months, driven by uncertainties surrounding global economic prospects, geopolitical developments, and global oil supply (Figure 3.A.11). Risks of sustained weak domestic demand in China and uncertainties about the direction of economic activity in developed countries—particularly in the industrial economies of the Eurozone—pose downward risks for global oil demand and prices. Simultaneously, despite the continued postponement of easing oil production restrictions by OPEC+ and related uncertainties, the ongoing increase in supply by non-OPEC countries could contribute to higher global oil supply in the medium term. Geopolitical uncertainties in the Middle East continue to present risks of potential increases in oil prices and heightened volatility.

Food: The FAO Food Price Index has shown significant growth in recent months, primarily driven by unfavorable weather conditions leading to lower actual or expected crop yields. In October, the index reached 127.4, marking a 6% increase compared to the same period last year. Over the last three months, the prices of all items included in the index, except for meat, which typically moves in line with global demand conditions, have risen, with vegetable oil prices increasing by around 15%. It is also worth noting that despite the current inflation, the prices of certain product groups (such as cereals and sugar) remain significantly lower than during the same period last year, partially offsetting the higher inflation in other product groups. On the other hand, the risks related to disruptions in supply chains, including those associated with geopolitical tensions in the Middle East, continue to pose risks for the increase in global food prices and price volatility, including for food imports into Armenia.

High Volatility In Global Copper Prices Reflects The Significant Uncertainty Surrounding Global Demand And Economic Policies.

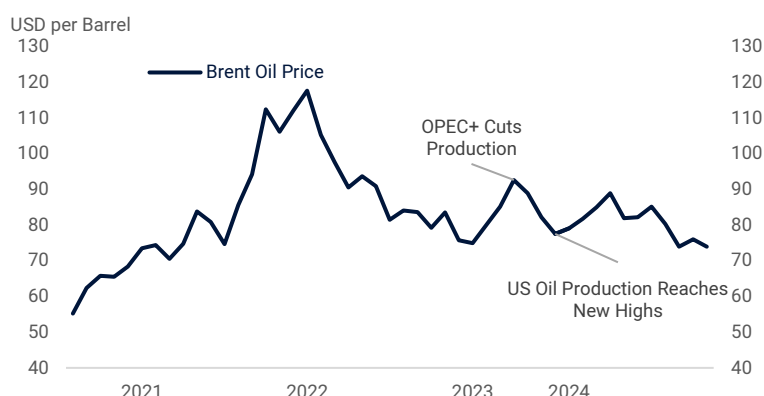
Figure 3.A.10: Copper Prices



Source: FRED

In The Context Of Geopolitical Tensions, Uncertainties Surrounding Global Demand, And The Potential Increase In Oil Supply, Uncertainties About The Outlook For Oil Prices Persist.

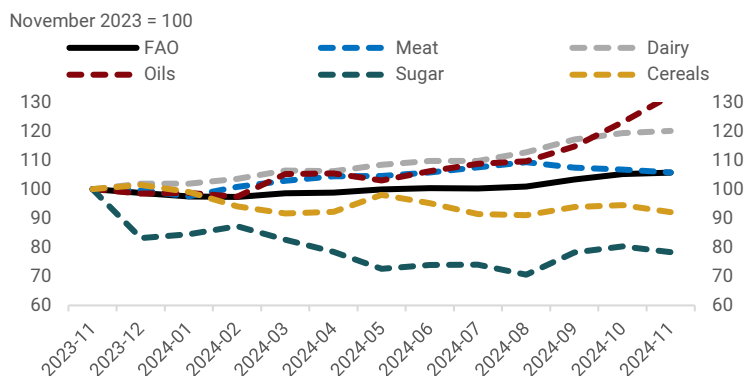
Figure 3.A.11: Brent Crude Oil Prices



Source: FRED

Primarily Driven By Unfavorable Weather Conditions, Global Food Prices Have Been Rising Recently. However, Medium-Term Risks Persist Due To Uncertainties Surrounding Global Demand Conditions.

Figure 3.A.12: Food Price Index of the Food and Agriculture Organization (FAO)



Source: FAO

Table 3.A.1: Third-Party Projections for Commodity Prices

Source/Topic Date	Oil (Brent, USD/barrel)			Copper (USD/ton)			World Bank Global Food Price Forecast (Annual Growth)		
	ETIA	WB	Consensus	WB	REQ	Consensus	Oils and Meals	Grains	Other Food
	Nov-24	Oct-24	Nov-24	Oct-24	Jan-24	Nov-24	Oct-24	Oct-24	Oct-24
2024	81	80	81	9250	9510	9300	-11.4	-15.2	1.5
2025	76	73	76	9300	9860	9779	-3.9	-4.6	-3.7

Source: US Energy Information Administration; World Bank; Australia Resources and Energy Quarterly (REQ); Bloomberg

Table 3.A.2. Third-Party Projections for GDP Growth and Inflation in Key Trading Partner Countries

Source Date	USA					EU						RF				
	IMF Oct-24	WB Jun-24	OECD Sep-24	Fed Sep-24	Consensus Nov-24	IMF Oct-24	WB Jun-24	OECD May-24	EC Nov-24	ECB Sep-24	Consensus Nov-24	IMF Oct-24	WB Jun-24	OECD Sep-24	CBR Oct-24	Consensus Nov-24
Economic Growth (Y-o-Y, %)																
2023 (F*)			2.5						0.5					3.6		
2024	2.8	2.5	2.6	2.0	2.7	0.8	0.7	0.7	0.8	0.8	0.8	3.6	2.9	3.7	3.7	3.5
2025	2.2	1.8	1.6	2.0	2.1	1.2	1.4	1.3	1.3	1.3	1.2	1.3	1.4	1.1	1.8	1.5
2026	2.0	1.8	-	2.0	2.0	1.5	1.3	-	1.6	1.5	1.3	1.2	1.1	-	1.9	1.4
Inflation (Y-o-Y, %)																
2023 (F*)			3.4						2.9					7.4		
2024	3.0	-	2.4	2.6	2.9	2.4	-	2.6	2.4	2.5	2.4	7.9	-	7.8	7.7	8.2
2025	1.9	-	1.8	2.2	2.4	2.0	-	2.1	2.1	2.2	2.0	5.9	-	5.5	5.3	6.9
2026	2.1	-	-	2.0	2.5	2.0	-	-	1.9	1.9	2.0	4.0	-	-	4.1	4.7

Source: IMF; World Bank (WB); OECD; Fed; ECB; CBR; European Commission (EC); Bloomberg

B. Domestic Demand Conditions

Gross Domestic Product

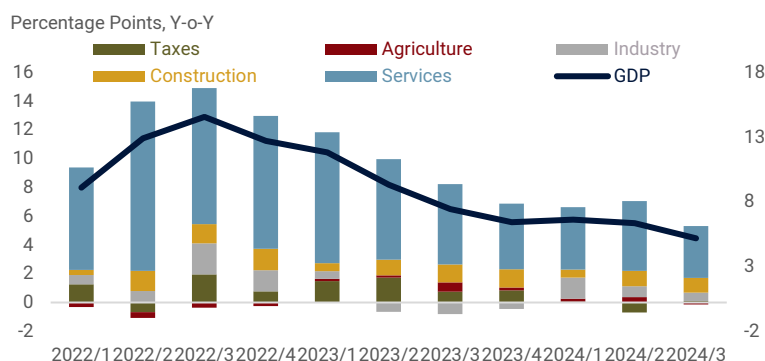
Economic growth in Q3 2024 stands at 5.2% Y-o-Y, and is largely concentrated in the trade (14.2% Y-o-Y), financial services (24.5% Y-o-Y), construction and real estate (respectively 16.8% and 32.3% Y-o-Y) sectors (Figure 3.B.1). Over recent quarters, the pace of economic growth has gradually moderated, converging toward more stable levels. Additionally, the persistent above potential economic growth, albeit concentrated in some sectors and not broad based, poses key uncertainties and risks related to assessing the relative state of aggregate demand versus aggregate supply (Figure 3.B.3). Uncertainties regarding the stability of external trade-related flows remain a concern. At the same time, “traditional” manufacturing sectors, such as food and tobacco, have experienced some resurgence in recent months. Nonetheless, the volume of construction in corresponding sectors, employment growth, and the import of investment goods, suggest that risks persist from a medium-term growth outlook, as no clear signs of notable capacity expansion are visible. The information and communication sector has demonstrated modest positive progress toward recovery. However, risks to the medium-term growth outlook in this sector remain evident. The services sector continues to be primarily driven by the trade sector, a dynamic attributable to both the accelerated growth of demand relative to supply and re-export activities. In the construction sector, despite the sustained high growth rates, signs of weakening momentum in the residential construction segment are becoming evident.

Uncertainties regarding external demand dynamics have heightened, particularly in relation to tourist flows, the movement of Armenian citizens traveling to Russia for employment, and the volume of non-commercial transfers. In the medium term, potential challenges linked to Russia’s economic outlook and regional geopolitical developments could pose risks of slowdown in the tourism sector, with potentially cooling effects on economic activity and slowing non-commercial flows and growth of goods export.

In Q4 2024, the output gap is estimated to be largely closed (Figure 3.B.3), though uncertainties regarding estimates remain. On the one hand, sustained above-potential economic growth, elevated private spending, and high loan growth suggest that the economy is operating under excess demand conditions. On the other hand, the concentration of this recent growth in a few sectors, easing labor market conditions (section C. Developments in the labor market and inflation), and the weak inflationary environment could point to weak demand conditions, and even suggest a negative output gap.

In Recent Quarters, the Pace of Economic Growth has Gradually Moderated, Aligning with More Stable and Sustainable Levels

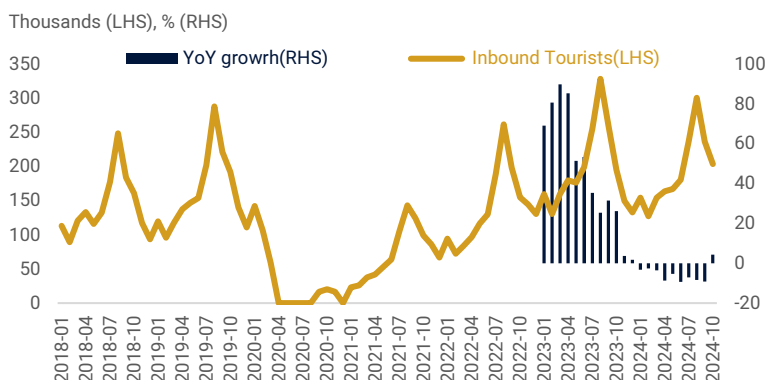
Figure 3.B.1: Contribution to Real GDP Growth by Production Approach



Source: Statistical Committee of the Republic of Armenia; CBA

Both Inbound Tourism and Real Expenses per Tourist Are Normalizing

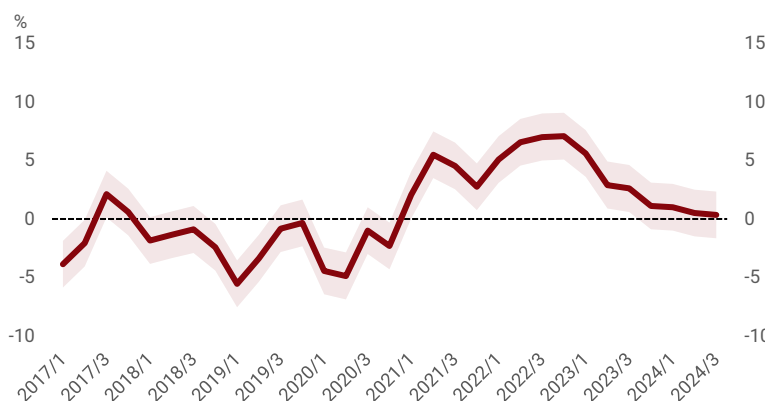
Figure 3.B.2: Real Expenses per Tourist and Inbound Tourists, Armenia



Source: Statistical Committee of the Republic of Armenia; CBA

Imbalance between Aggregate Demand and Supply Has Decreased

Figure 3.B.3: The Output Gap



Source: CBA

Consumption and Investment

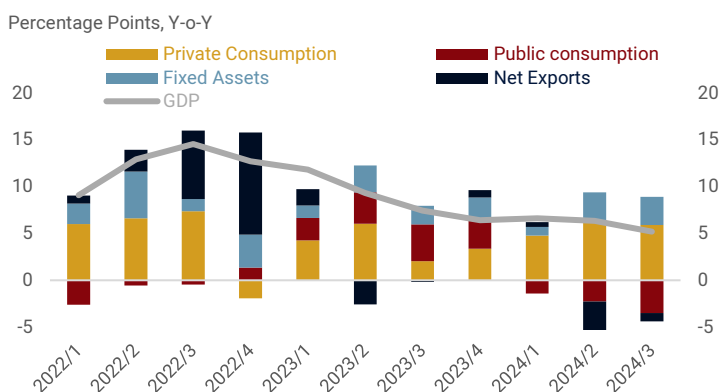
In the third quarter of 2024, growth in aggregate consumption was primarily driven by an increase in private consumption, even as government spending declined (Figure 3.B.4). Private consumption, which had been relatively subdued in relation to overall economic growth in the past couple of years, gained momentum in the third quarter of 2024, achieving a growth rate of 9.5% Y-o-Y. Aggregate investment growth, which was largely driven by growth in public investment through the end of Q1 2024, accelerated in the third quarter as both public and private investments grew. Private investment in the real estate sector continue to remain at high levels. Moreover, the slowdown in real estate sector investments, combined with the high growth in business lending volumes, indicates a certain improvement in the sectoral structure of investments (Figure 3.B.5).

Uncertainties regarding the outlook for domestic demand are expected to persist in the near term. On the one hand, domestic demand could grow on the back of previously accumulated savings in the private sector, a reduced debt burden, and subsequent potential for credit growth. Such a scenario could fuel further excess demand pressures (particularly if the economy is judged to be already operating at or slightly above potential), increasing the inflationary pressures. On the other hand, non-widespread economic growth, the increase in the unemployment rate (Figure 3.C.1), and slowdown in wage growth (Figure 3.C.4) in the private sector brings about risks of weak demand conditions, which will be reflected in the weak inflationary environment. Moreover, a spike in regional and geopolitical uncertainty can restrain private expenditures in the form of both consumption and investments. This scenario implies aggregate demand being below long-term potential. Uncertainty regarding the scale of the expansionary stance of fiscal policy remains a notable consideration.

The uncertainty surrounding the number of labor migrants from the Russian Federation to Armenia and the actual volume of remittances inflowing into Armenia remains significant. On the one hand, remittances channeled through the banking system continue to be maintained at relatively low levels (Figure 3.B.6). On the other hand, recent observations show a significant increase in the volume of cash ruble exchanges by individuals, which may indicate a change in the nature of financial flows rather than a decrease in the number of labor migrants. This could reflect the difficulties in transferring funds through the banking system. Nevertheless, the narrowing wage gap between the construction sectors of Armenia and Russia (especially due to the current depreciation of the ruble), the heightened uncertainty surrounding Russia's medium-term economic outlook could create risks of potential slowdown in seasonal migration and remittances. Therefore, growth in labor supply and potential output is possible due to the integration of seasonal migrant workers into the Armenian labor market which would bring about deflationary risks.

Acceleration in the Growth of Private Consumption Carries Risks of Demand Expansion

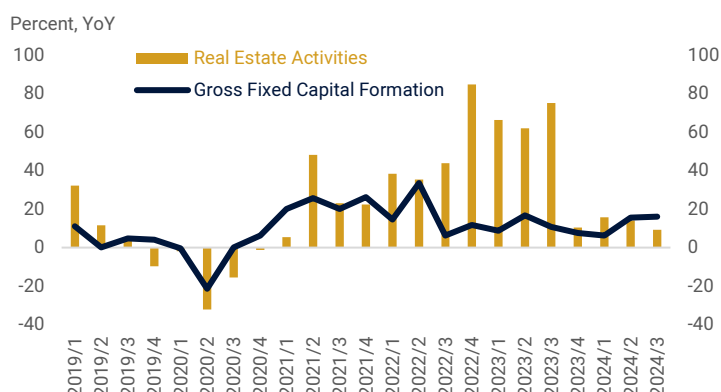
Figure 3.B.4: Contribution to Real GDP Growth by Expenditure Approach



Source: Statistical Committee of the Republic of Armenia; CBA

Despite the Slowdown in Investment Growth Rates in the Real Estate Sector, the Overall Growth of Investments in the Economy Remains Positive

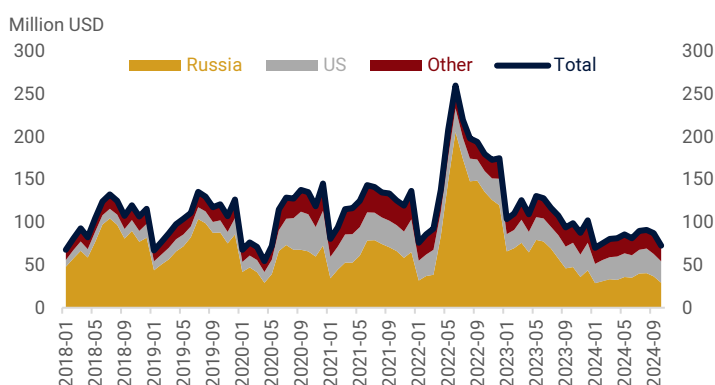
Figure 3.B.5: Growth of Investments in the Economy and the Real Estate Sector



Source: CBA

Remittances Continue to Decline Considerably from 2022 Peaks

Figure 3.B.6: Inflow of Non-Commercial Transfers to Armenia by Source Country



Source: CBA

External Trade and Demand

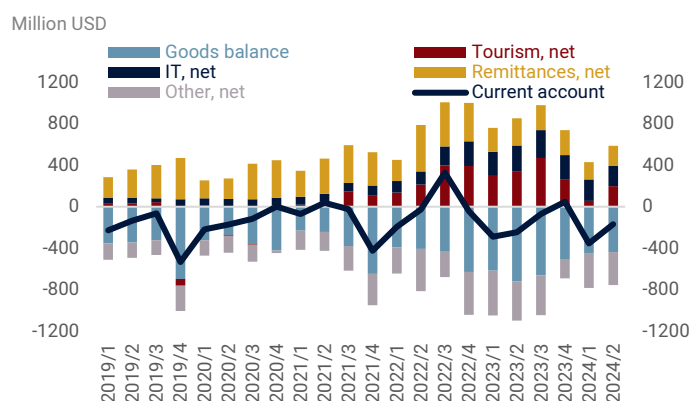
In Q2 2024, the current account showed improvement compared to both the previous quarter and the same period of the previous year (Figure 3.B.7). This improvement is largely attributed to the flows of intermediate goods, without reflecting the developments in the domestic economy. It should be noted that the significant improvement in the goods balance this year has allowed for the full offset of the weakening net flows in tourism, IT exports, and non-commercial transfers. However, considering the expansion and gradual tightening of targeted sanctions against the Russian Federation, including in the context of trade mechanisms with third countries, risks to the stability of these trade flows are considerable. It is also important to highlight that during the current year, trade flows in intermediate goods have notably weakened, although they remain at high levels (Figure 3.B.8).

Despite the strong level of savings accumulated in recent years and high economic growth, demand for imported intermediate goods has somewhat weakened. It is noteworthy that there has been a modest reduction in the import of final and capital goods. This may reflect generally weak demand conditions amid non-inclusive economic growth and uneven income distribution. On the other hand, it is also possible that the strong income growth in recent years could be generating shifts in consumption preferences from goods to services. With respect to restrained demand for investment goods imports, possible reasons could include uncertainty related to regional developments, as well as the drawdown of certain investment projects.

The real effective exchange rate (REER) appreciated somewhat in Q4 2024, driven by the nominal depreciation of the currencies of Armenia's trading partners, particularly the euro and the Russian ruble, against the US dollar. The key uncertainties relate to the cyclically appreciated exchange rate in the context of stabilizing external imbalances and absorbing excess demand. Elevated external demand since 2022 amid geopolitical developments in Eurasia, capital and labor inflows, high tourist inflows and export of highly productive IT services have contributed to a significant appreciation of the REER in the economy (Figure 3.B.8), while weak inflation in the domestic economy versus partner countries since 2023 has contributed to lowering REER appreciation. If REER appreciation were to prove to be cyclical, its parallel adjustment would inevitably be reflected in a sharp adjustment of the current account deficit, following the aggregate demand correction process. On the other hand, current levels of external demand may reflect new opportunities that would permanently support export potential, particularly in services. This could lead to a fundamental, rather than cyclical, REER appreciation.

Current Account Is Improving, Largely Driven By The Export Of Precious Metals.

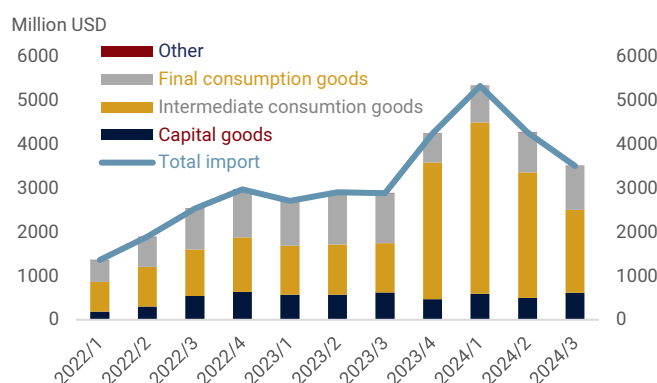
Figure 3.B.7: Current Account



Source: Statistical Committee of the Republic of Armenia; CBA

Demand For Consumption & Investment Goods Remains Weak

Figure 3.B.8: Value of Imports by Armenia by Broad Economic Category (BEC)

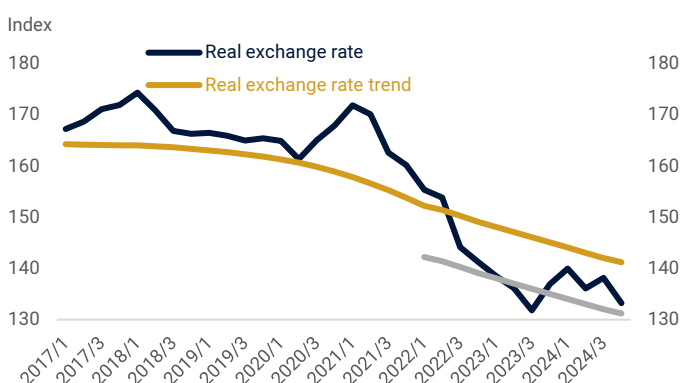


Source: Statistical Committee of the Republic of Armenia; CBA

Note: The presented data are not comparable with previously published figures due to certain methodological changes. Specifically, goods previously classified under the "Other" category have been largely reallocated to other categories based on their primary use.

The Slight Depreciation Of The Real Exchange Rate Indicates A Reduction In External Imbalances; However Uncertainty Regarding The Cyclical Position Of The Real Exchange Rate Persists

Figure 3.B.9: Real Effective Exchange Rate and Trend for AMD against USD, EUR and RUB (Lower Value means Stronger Dram)



Source: CBA

Fiscal Policy

Despite robust indicators of economic activity, tax revenues for the first nine months of 2024 fell slightly short of planned levels, largely due to unique structure of economic growth. While the year-on-year growth in tax revenues is significant, reaching 9.3% for the period, some of the increase is attributed to the methodological change of accounting for income tax refund on mortgages, both in tax revenues and government expenditures. Accounting for methodological changes the growth rate of tax revenues during the first nine months amounts to 6.2%, which is somewhat lower, compared to the cumulative economic growth at the same period. Underperformance of tax revenues creates some risks of running a higher deficit and higher public debt in 2024 and making fiscal policy more expansionary than planned.

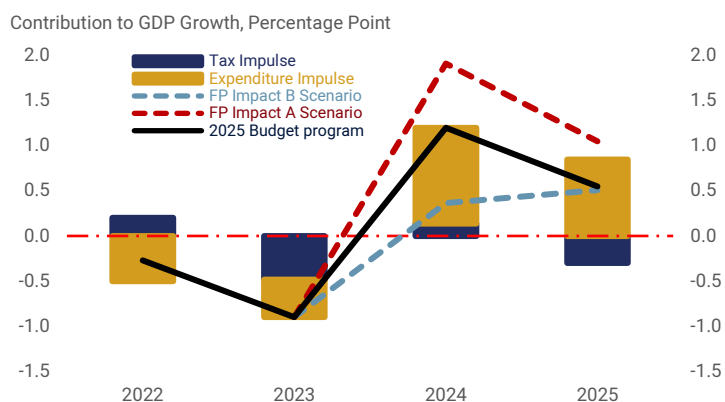
It is worth noting that even in the medium term, there remain risks of the budget adopting a more stimulative stance than anticipated, driven by the need to meet social expenditures and address tax underpayments (Figure 3.B.9, Scenario A of the impact of the FP). In this context, a more rapid increase in the debt burden in the medium term could also pose risks related to the country's risk premium and the rise in the neutral interest rate. Under these circumstances, fiscal authorities would need to take a more conservative stance on expenditures from the perspective of balancing the budget, though most of the current expenditures are not revertible, while cutting back on capital expenditures poses some risks on medium term growth potential.

Conversely, if tax revenue collection and capital expenditures fall short of expectations, the impact of fiscal policy may be nearly neutral. This is further influenced by uncertainties surrounding the extent of their effect on aggregate demand, given the structural characteristics of capital expenditures (Figure 3.B.10, FP Exposure Scenario B).

Over the medium term horizon, in order to finance the budget deficit, there are certain risks of a stricter tax administration and tighter tax legislation policies, which can have an additional negative impact on aggregate demand.

Inflationary Impacts of Fiscal Policy are Relatively Muted, Though Inflationary Risks Could Stem from Revenue Underperformance, Underspending of Capital Expenditures, and/or Reserve Fund Drawdown, as Well as Possible Increases in Public Debt

Figure 3.B.10: Fiscal Impulse and Scenarios for 2024 and 2025



Source: Ministry of Finance; CBA calculations

C. Labor Market and Inflation

Labor Supply and Demand

The unemployment rate (derived from SCRA household surveys) decreased slightly from the previous quarter, standing at 13.8% in 2024Q2 (Figure 3.C.1), but increased by nearly 2 p.p. compared to the same period last year, reflecting a gradual weakening of labor market conditions. It should be noted that while there was an observed increase in working age population in RA during the same period, the majority of these individuals were classified as part of the economically inactive population. Hence, the uptick in unemployment rate is rather a consequence of the increase in numbers of unemployed rather than the increase in labor supply. Additionally, it is worth mentioning that in the first half of 2024, there was a noticeable outflow of foreign labor, which may also reflect a weakening of labor market conditions. On the other hand, the number of registered employees (based on SRC data), meanwhile, has continued to increase during the second quarter of 2024, which could be interpreted as reflecting sufficient labor demand in the market, and could signal uncertainties about labor market conditions, as surveys and data from businesses provided mixed signals about labor market developments. An increase in the number of registered workers may also reflect structural changes within the economy, specifically the reallocation of labor from the informal to the formal sector.

The main uncertainties regarding the labor market outlook surround the potential for an outflow of migrant workers due to stricter legislative regulations in Armenia; the scale and pace of the integration of forcibly displaced persons from Nagorno-Karabakh; as well as slowing flows of Armenian labor migrants to Russia and their greater participation in the domestic labor market. At the same time, the integration of displaced persons from Artsakh in the economy could have positive impact on labor supply and potential growth. However, considering that the significant increase in labor resources in the second quarter was not accompanied by a substantial rise in labor supply, key uncertainties remain regarding the pace of integrating non-active segments of the population into the labor market.

There is considerable uncertainty regarding the flow of labor migrants to Russia. Although the wage differential between Armenia and Russia has partially recovered in recent periods, it could be significantly reduced due to the ongoing depreciation of the ruble. Additionally, risks related to the growth prospects of the Russian economy continue to be substantial. In this context, the volume of labor migration to Russia may decrease, which could contribute positively to the expansion of the labor supply and, in turn, slightly enhance the potential output of Armenia's economy. Another important factor contributing to the reduction in seasonal migration to Russia could be the tightening of migration regulations by the Russian Federation, which may also positively impact the expansion of labor supply in Armenia.

Gradual Easing in Labor Market Supports Softening in Wage Pressures, but Without a Significant Increase in Labor Supply

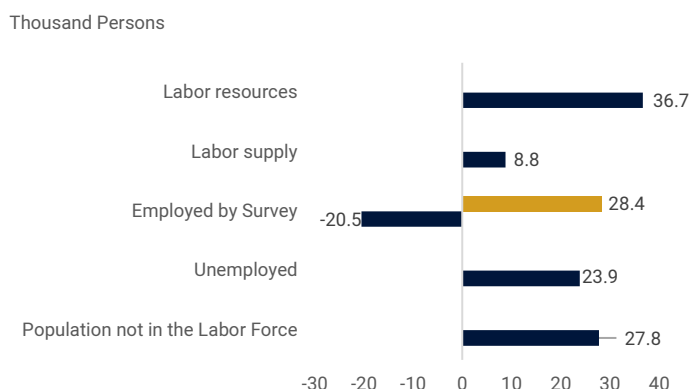
Figure 3.C.1: Unemployment Rate, Armenia



Source: Statistical Committee of the Republic of Armenia

Substantial Increase in Labor Resources Raises Uncertainties about the Pace of their Integration into the Labor Market

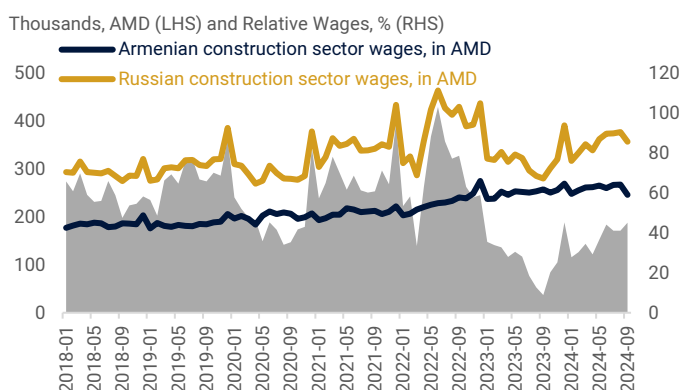
Figure 3.C.2: Change in RA Labor Resources, 2024Q2/2023Q2



Source: Statistical Committee of the Republic of Armenia; CBA

Sustained Narrowing Of Gap Between Construction Wages In Armenia And Russia Could Impact Flows Of Seasonal Migrant Workers From Armenia To Russia

Figure 3.C.3: Construction Wages in Russia and Armenia



Source: Rosstat; Statistical Committee of the Republic of Armenia; CBA

Wage Growth

After the high growth recorded in recent years, private nominal wage growth continued to decelerate in 2024 Q3, reaching 5% Y-o-Y (Figure 3.C.4). Nevertheless, the growth in productivity, labor supply, and employment in recent quarters has continued to contribute to weakening inflationary pressures from the labor market, though signals from the labor market are somewhat inconsistent. In September of the current year, nominal wage growth accelerated to 6.5% Y-o-Y, with over half of this increase, approximately 3.5 percentage points, attributable to the financial and insurance sector, which experienced a more than 40% annual wage surge. The uneven distribution of wage growth across various sectors and the slower wage growth in other parts of economy suggest a notable reduction or neutralization of labor market pressures. Additionally, a potential increase in labor supply could further ease labor market conditions and reduce market-driven inflationary pressures in the medium to long term.

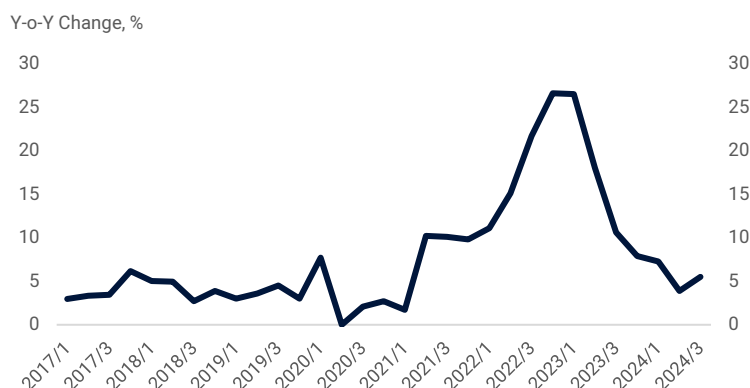
Inflation

In Q3 2024, following periods of deflation episodes, the 12-month inflation has somewhat accelerated (1.4% Y-o-Y in November 2024), primarily driven by seasonal factors. In recent months, inflation has been driven by the acceleration in prices of imported food, as well as rising costs in services, particularly in non-regulated services. Nevertheless, the subdued inflationary pressures are primarily driven by weakened pressures coming from the external sector, the impact of the monetary policy implemented in recent years, the gradual easing of labor market conditions and some reduction in aggregate supply and demand imbalances. External demand-driven services inflation, though showing some acceleration, remains below target. Meanwhile, still higher domestic demand, coupled with revisions to the tax code, as well as the planned review of public transportation fares in Yerevan starting January 2025 may continue to pose some inflationary risks. The latter, however, is estimated to have limited overall effect on inflation, at most 0.4 p.p, given its relatively small share in the consumer basket.

Moreover, upward risks to oil prices, as well as the observed slight monthly increases in imported food prices (section 3A) in recent months, could cause imported deflationary trends to weaken considerably or reverse. Core inflation, which excludes seasonal food and regulated services, has remained positive but at a low level in recent months, standing at 0.6%, Y-o-Y in October 2024, and largely reflecting sustained declines in imported food and non-food product prices, e.g., clothing, footwear, as well as dairy and meat products have decreased compared to the previous year. Meanwhile, Non-Traded Sticky Price Inflation (NTSPI) somewhat stabilized in October 2024, reaching 2.5% Y-o-Y and revealing moderation and adjustment of aggregate demand.

Increases in Labor Supply Driven by Labor Resource Expansion Could Contribute to Weakening Inflationary Pressures, though Signals from the Labor Market are Somewhat Incongruous

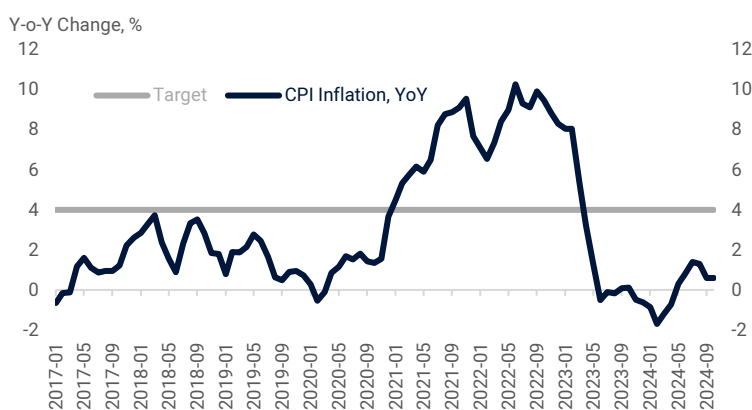
Figure 3.C.4: Nominal Private Wage Growth, Armenia



Source: Statistical Committee of the Republic of Armenia

A Subdued Inflationary Environment Is Observed, Driven By The Diminishing Influence Of Base Effects And Continuous Deflationary Pressures From The External Sector.

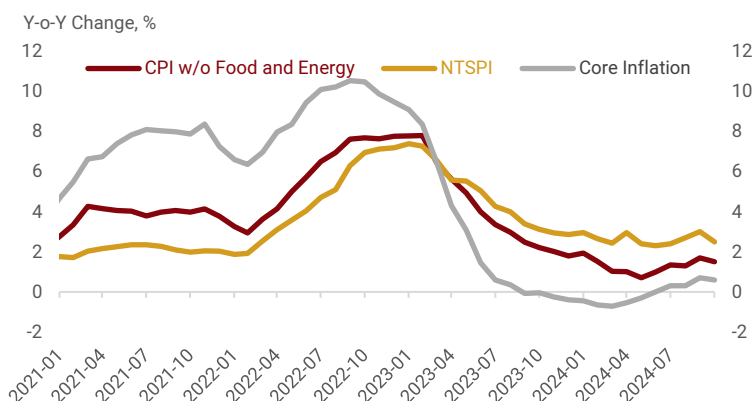
Figure 3.C.5: Y-o-Y CPI Inflation and the Target, Armenia



Source: Statistical Committee of the Republic of Armenia, CBA

Non-traded sticky prices continue to stabilize

Figure 3.C.6: Underlying Inflation Measures, Armenia



Source: Statistical Committee of the Republic of Armenia, CBA

Inflation (cont.)

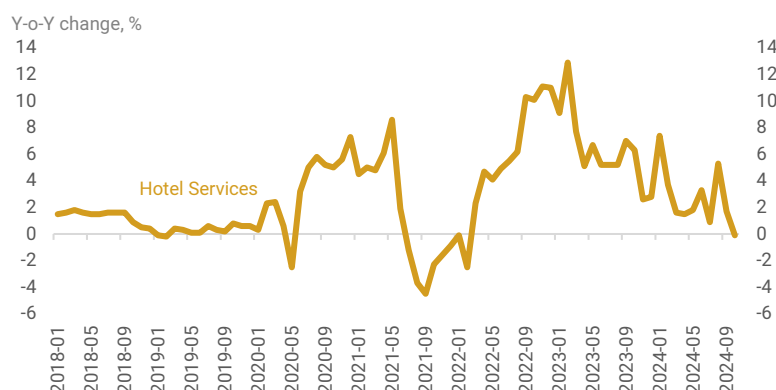
Due to adjustments in external demand, inflationary trends for certain goods and services have meaningfully softened (Figure 3.C.7). Against this background, third-party projections of inflation through the rest of 2024, including the IMF and surveys of market participants, suggest headline inflation in the near-term is likely to remain below target (Table 3.C.1).

Inflation Expectations

According to the results of the household inflation expectations survey conducted by the Central Bank of Armenia, in the fourth quarter of 2024, uncertainties have significantly decreased, reflecting a greater share of respondents with low inflation expectations compared to the previous quarter. This is somewhat consistent with the continued maintenance of the weak inflationary environment that has characterized the economy in recent quarters. At the same time, the proportion of respondents expecting higher inflation has also increased, albeit to a lesser extent, which likely reflects public perceptions about the persistence of high inflation for certain goods.

External Demand-Driven Inflationary Pressures Have Eased

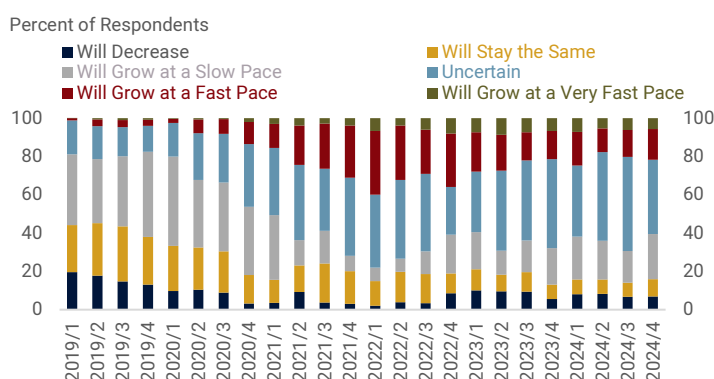
Figure 3.C.7: Hotel Services Inflation



Source: Statistical Committee of the Republic of Armenia, CBA

Larger Proportions of Respondents Expect Lower Inflation than in the Past, while Uncertainty Remains Elevated

Figure 3.C.8: Survey on Households' Inflation Expectations, Armenia



Source: CBA

D. Financial Markets

Market Expectations of Policy Rates

According to the latest survey conducted by the CBA among financial market participants (including commercial banks, institutional investors, asset managers, and others) as of October 30, 2024, market participants on average expect the CBA to continue gradually decreasing the policy rate over the course of the next eight decisions in line with the expected macroeconomic outlook. The key risks and issues that respondents emphasized as possible uncertainties related to these projections have served as an important input into the taxonomy of scenarios presented in Section E.

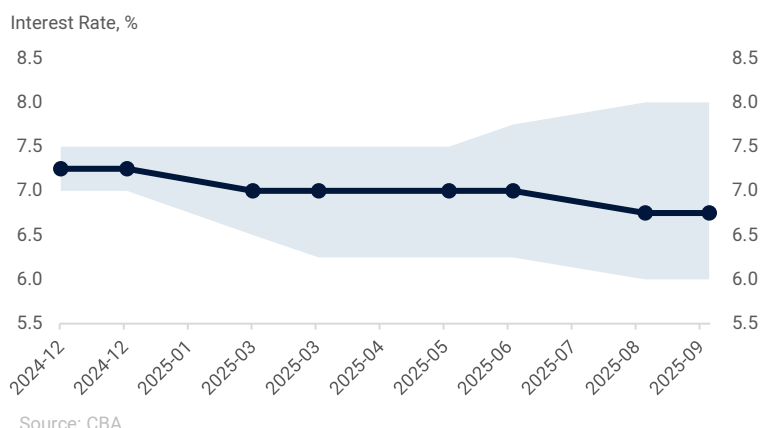
According to market expectations derived from the yield curve, bond markets reflect a slight upward revision in interest rate expectations compared to surveys over the one-year horizon. Overall, since the October policy rate decision, the upward shift in the short end of the yield curve reflects, on one hand, the potential impact of short-term factors as perceived by market participants, and on the other hand, a possible slight re-evaluation of macroeconomic risks. This, in particular, may reflect a reconsideration of risks related to debt stabilization and financing of the fiscal deficit, as well as certain external factors, such as the risks associated with maintaining higher long-term interest rates in the U.S. for an extended period.

Neutral Interest Rate

Despite the ongoing uncertainties, the Central Bank's recent decisions regarding the reduction of the policy rate indicate that the likelihood of a restrictive policy stance has significantly decreased, and the monetary stance is close to neutral. Uncertainties around this remain in several areas. In the context of a slight easing of regional geopolitical tensions, the recent decrease in Armenia's country risk premium (Figure 3.D.6) may indicate a relatively lower neutral interest rate for Armenia. Additionally, elevated long term interest rates globally might suggest that underlying equilibrium interest rates in the world are higher, thus necessitating an upward revision in neutral rates in emerging market economies. At the same time, growth of potential and export capacities in Armenia in recent years and appreciation of real effective exchange rate might suggest a lower underlying interest rate in domestic economy, as investors also consider long-term domestic currency dynamics when making cross-border investment decisions. The uncertainty regarding inflation expectations remains high. However, the results of household surveys, along with the prolonged period of low inflation, may indicate a potential reduction in inflation expectations.

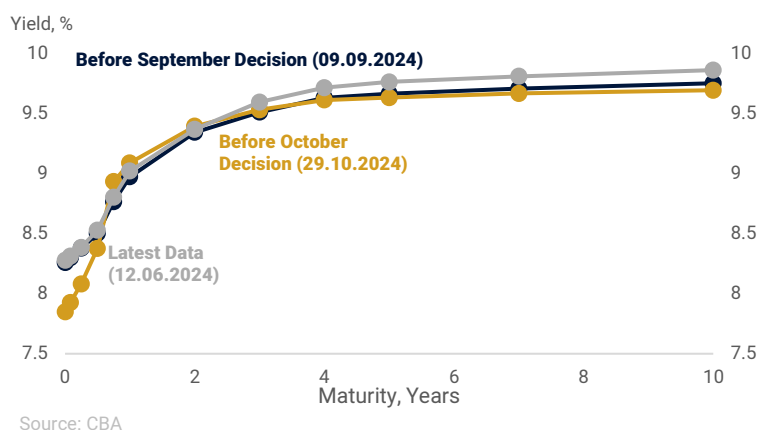
Most Market Participants Expect Gradual Declines in the Policy Rate over the Next Year

Figure 3.D.1: Financial Market Participants' Expectations of the CBA Policy Rate According to September 6, 2024 CBA Survey



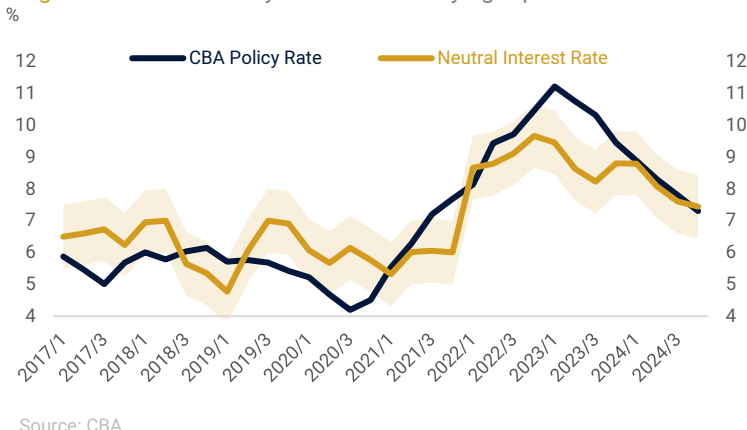
Short-Term Bond Yields Continue to Decline, While Long-Term Bond Yields Have Remained Stable

Figure 3.D.2: Yield Curve Dynamics, Armenia



How Tight are Monetary Conditions?

Figure 3.D.3: CBA Policy Rate and Underlying Equilibrium Rate



Bank Lending Conditions

CBA surveys show that the index of commercial bank lending conditions continued to follow a net easing trend across all types of loans, while interest rates remain relatively stable, not yet showing signs of easing due also to a net increase in demand for these loans.

The funds attracted and provided by commercial banks continued to grow in Q3 2024, likely reflecting high economic activity in the real sector. Loans provided to households continue to grow strongly reflecting high, yet slowing, demand for housing. Despite persisting uncertainties growth in business loans rebounded in Q3. Still high GDP growth, accumulated savings in the private sector, as well as a relatively lower debt burden (relative to incomes) in the private sector could serve to drive additional consumer confidence, which could motivate further growth in credit fueling domestic demand driven pressures. On the other hand, geopolitical uncertainties in the region might deteriorate household and business confidence thus curbing economic activity.

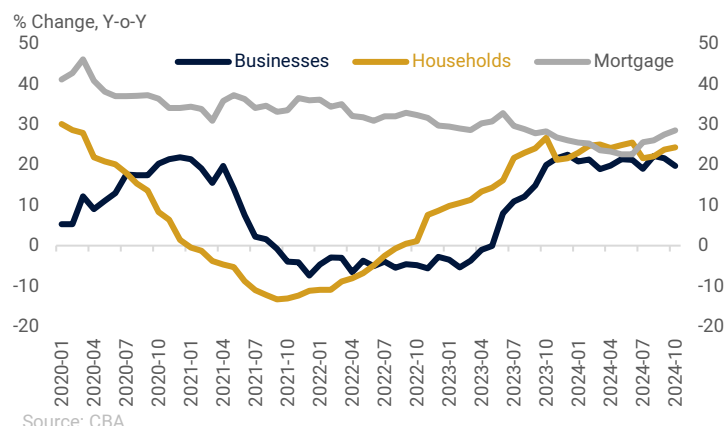
Nominal Exchange Rate

Since the beginning of 2024, the dram has held relatively steady versus the US dollar, Euro, and Ruble (Figure 3.D.5). However, very modest appreciation of the dram has been observed relative to Ruble in recent weeks, as the ruble weakened due to strong domestic demand pressures and elevated inflation expectations in Russia (Section 3A). The steady dram is a reflection of both appreciation and depreciation forces in the domestic economy as well as the rest of the world. The key risks and uncertainties include the possibility of sustained growth in exports and trade, weaker imports of consumption goods, as well as stronger external demand for domestic services (which, though softened, are still at high levels), to generate appreciation pressures (Figure 3.B.7). These trends could be offset by uncertainties in the region and further increase in country risk premium as well as the possibility of domestic demand proving to be stronger, with greater domestic consumption, driven by accumulated savings and room for growth in consumer lending, driving higher imports.

The country risk premium (estimated as the difference between the yield on Armenian Eurobonds maturing in 2031 and a benchmark risk-free interest rate with the same maturity) somewhat decreased in the recent times (Figure 3.D.6). The slight increase in Armenia's country risk premium reflects the geopolitical uncertainties in the region, rather than country specific factors related to Armenia. Overall emerging market economies continue to experience a lower risk premium due to less concerns for capital flows from emerging market economies to advanced economies as the recent developments in US indicated that long-term interest rates will remain at elevated levels due to domestic issues.

Demand for Consumer Loans Continue to Grow

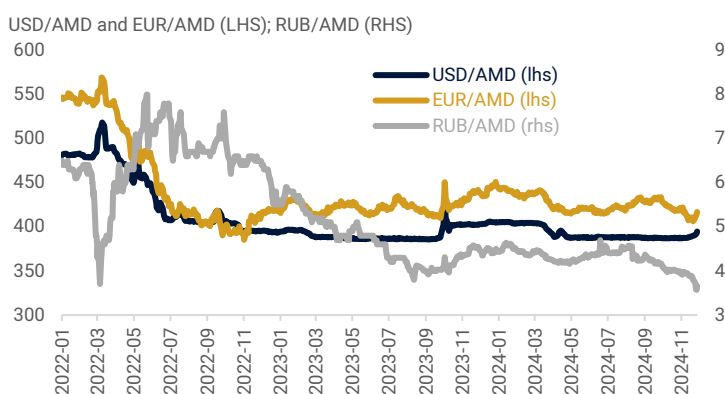
Figure 3.D.4: Change in Total Loans Provided by Commercial Banks to Households and Businesses, Armenia



Source: CBA

Significant Appreciation Of AMD Since Mid-2022

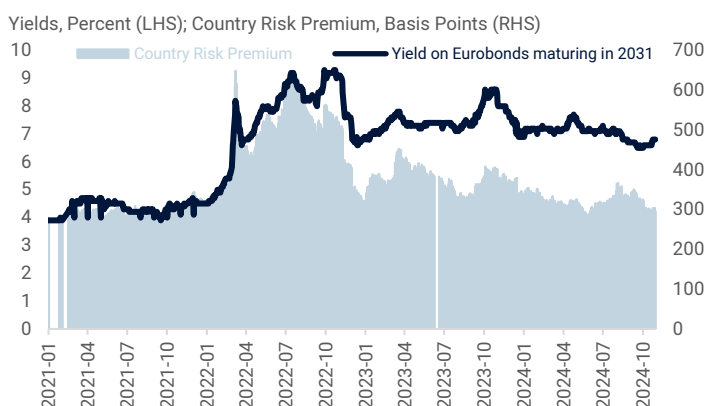
Figure 3.D.5: Nominal Exchange Rate for AMD against USD, EUR and RUB (Lower Value means Stronger Dram)



Source: CBA

While The Country Risk Premium Continues To Decline, Uncertainty Regarding The Outlook For Regional Geopolitical Tensions Still Poses Upside Risks, With Implications On Financial Markets

Figure 3.D.6: Yield on Armenian Eurobonds Maturing in 2031 and Estimated Country Risk Premium



Source: Ministry of Finance, CBA

Note: The country risk premium is estimated as the difference between the yield on Armenian Eurobonds maturing in 2031 and a benchmark risk-free interest rate with the same maturity

E. Taxonomy of Scenarios

Purpose and Structure of the Taxonomy

The purpose of this taxonomy is to provide a structured assessment of the different types of risks and shocks that can affect the Armenian economy and describe their impact on inflation and economic environment in Armenia, as well as loosely illustrate implied monetary policy reactions by the CBA. Having a structured framework for classifying these risks allows the reader to more effectively understand the wide range of information, ideas, and opinions that are held by various stakeholders, from the Board and Staff of the CBA to financial markets and the public. To allow the diversity of viewpoints among these various groups to flourish and to facilitate the development and communication of better policy decisions, it is imperative to structure these views within a cohesive structure. The taxonomy is intended to provide a concise summary of the Staff's views about the totality of all the policy-relevant risks held by various stakeholders, which are most policy-relevant for Armenia.

Table E.1: Taxonomy Structure

Case A-Type Considerations	Case B-Type Considerations
Expansionary Demand: Shocks result in aggregate demand rising more than aggregate supply, increasing underlying inflation. This requires an increase in the policy rate path that is sufficiently aggressive to anchor inflation and inflation expectations. Complications: credibility is fragile Output + Inflation +	Contractionary Demand: Shocks result in aggregate demand rising less than aggregate supply, decreasing underlying inflation. This requires a decrease in the policy rate path that is sufficiently aggressive to anchor inflation and inflation expectations. Complications: ELB, stuck in low inflation trap Output - Inflation -
Contractionary Supply: Nasty stagflationary shocks that require an aggressive upward adjustment in the expected path of the policy rate, resulting in a significant short-run tradeoff between inflation and other real objectives (e.g., unemployment) Complications: Hard to hit the wounded economy Output - Inflation +	Expansionary Supply: Favorable supply shock(s) reduce inflation toward the target and results in higher growth as well as lower interest rates; is a policymaker's dream. Complications: can be risky if this environment is extrapolated into the future Output + Inflation -

The taxonomy is classified into those that can have Case A-type (expansionary demand, contractionary supply) and Case B-type (contractionary demand, expansionary supply) considerations. Although the classification of shocks can be done in different ways across different features, the one presented here is based on a typical distinction between supply and demand side forces and is particularly useful from policymakers' point of view as it provides a framework for analyzing the source of inflationary pressures and potential risks to the economy. By understanding the nature and magnitude of different types of shocks, policymakers can then design appropriate monetary policy responses to mitigate the negative impact of adverse shocks and leverage the benefits of positive shocks.

Taxonomy of Scenarios: Q4 2024

Table E.2: Taxonomy of Scenarios: Q4 2024

Case A-Type Considerations	Case B-Type Considerations
Expansionary Demand • The revaluation of economic policies in the United States has increased uncertainty regarding the extent of fiscal stimulus, particularly in the medium and long term. In this context, potential reductions in tax rates, combined with higher-than-expected public spending, could significantly increase the debt burden, contributing to a rise in the neutral interest rate in the U.S., thus also affecting the neutral interest rates in emerging economies, including Armenia. • Due to the risks stemming from regional geopolitical conflicts and the potential escalation of border tensions in Armenia, the country's risk premium is adjusting rapidly toward its long-term, fundamental level. This adjustment reflects the unique characteristics of Armenia and the region, including uncertainties surrounding border tensions, regional geopolitical developments, and other factors. In this context, a potential upward adjustment of the country risk premium poses risks related to an upward revision of the neutral interest rate, which, all else being equal, could predominantly result in inflationary pressures given a more accommodative monetary policy stance. • Due to the under-collection of tax revenues and the necessity of implementing social and other expenditures (which do not contribute to internal growth), there is a risk of a significant increase in the debt burden compared to expectations in the medium term, leading to an upward adjustment of the country risk premium toward its fundamental level. • The high economic growth recorded in the domestic economy may reflect higher levels of productivity, an increase in the marginal cost of capital and a rise in the neutral interest rate. In this case, there are risks of continued acceleration of demand and increased inflationary pressures. • Uncertainties regarding demand conditions in the domestic economy (the formation of excess demand and its sustainability). ◦ Long-term above-potential economic growth, primarily driven by domestic demand factors, reflects the risks of sustaining an excess demand environment in Armenia. ◦ Private consumption (and resulting inflationary pressures) could accelerate on the back of accumulated private savings, the continued high growth of consumer loans and income growth driven by positive developments in the tradable sector. ◦ Formation of a more stimulative fiscal policy than expected, posing risks related to the expansion of domestic demand. • Under conditions of persistent uncertainty surrounding inflation (or exchange rate) expectations, various potential shocks could lead to scenarios where these expectations become unanchored in an upward direction.	Contractionary Demand • Concerns about a weak economic outlook persist in the global economy, especially in the European Union and China, the presence of structural issues and high uncertainties may result in sustained weak domestic demand, potentially leading to a prolonged period of subdued inflationary conditions in international commodity and raw material markets. • While growth in Russia remains at high levels, the more targeted and consistent application of Western sanctions nevertheless pose risks of a sharp slowdown in Russia's economic growth, particularly under tightening economic policies. In this context, these could have negative implications on Armenia, including further slowdowns in inflows of remittances to Armenia as well as general contractionary impacts on external demand for goods and services in the Armenian economy. • The gradual adjustment of the overheated real estate market poses risks to the growth outlook in the construction sector as well as real estate prices, with the potential for deceleration in the construction sector to have negative spillovers on other sectors of the economy and the overall demand environment, leading to deceleration and domestic demand-driven disinflation. • Slowing wage growth and rising unemployment amid non-widespread and non-inclusive economic growth reflected in highly concentrated income in specific sectors in parallel with relatively muted private consumption and low inflationary environment, drive uncertainty about domestic demand conditions in Armenia and pose risks that a negative demand environment could emerge, with implications for sustained deflationary pressures in the medium term. • Headline inflation remains persistently below the target for a long period, which could lead to a sustained decline in long-term inflation expectations and contribute to restrained consumption patterns. • Risks of additional demand restraint by fiscal policy. ◦ Additional restraint on demand, along with possible tax administration tightening, legislative changes and other measures needed to improve the tax-to-GDP ratio and finance the budget deficit in the future. ◦ Enhanced tax revenue collection in the face of relative increase of capital expenditures share in the total government expenditure could result in fiscal policy having much more restrictive impacts on aggregate demand. • In recent years, due to the inflow of capital and highly productive labor, significant uncertainties exist regarding productivity, long-term potential growth, the degree of real effective exchange rate appreciation, and the medium-term stability and trends of the capital flows that underpin these factors. This could contribute to the formation and maintenance of lower neutral interest rates in Armenia.

Case A-Type Considerations (continued)	Case B-Type Considerations (continued)
Contractionary Supply • Risks associated with disruptions in global supply chains. ◦ The potential for further escalation and worsening of regional conflicts (Middle East, Russia-Ukraine conflict) creates risk in terms of disrupting global supply chains (including oil and food) that can feed through to higher global inflation. This could result in, on the one hand, a tighter-than-expected policy stance in advanced economies, and on the other hand, higher prices being transmitted to the domestic economy through the imported goods channel. ◦ In the context of tightened trade policies among major economies and with the rest of the world, disruptions in production chains are likely to lead to increased production costs and global inflationary pressures in the short to medium term. • External trade-driven growth contributes to the sustained appreciation pressure on the dram. Due to the ongoing and increasingly targeted sanctions against the Russian Federation and third countries, along with a sharp slowdown in economic growth could generate inflationary risks stemming from the potential for significant financial outflows and increased volatility in financial markets.	Expansionary Supply • Due to the gradual narrowing of the wage gap between Armenia and Russia (particularly following the recent depreciation of the ruble) and heightened uncertainty regarding Russia's medium-term growth prospects, there is an expectation of reduced seasonal migration from Armenia to Russia. This could lead to an excess supply of labor in Armenia, which would likely reduce wage growth and significantly ease inflationary pressures. • Due to periodic disruptions in regional export logistics routes and subsequent trade flows, particularly for seasonal food products, there is an increased risk of an excess supply of these products, which may lead to downward price pressures. Specifically, the seasonal supply of food products, driven by the expansion of greenhouse farming, may result in higher overall production, potentially coupled with difficulties in exporting agricultural goods. • In the case of significant tightening of external trade policies by the US, medium-term global economic conditions may see an excess supply of goods and services (such as freight services) from several leading economies, posing deflationary risks for smaller economies.

Box 3. Market Reference Scenario

Under the CBA Monetary Policy Framework (FPAS Mark II), the CBA does not prepare baseline projections. Instead, we rely on information from financial market participants (including commercial banks, fund managers, institutional investors, and so on)—compiled through quarterly surveys—to develop a macro-consistent “market reference scenario (MRS).” This MRS, in many ways, serves a similar purpose as a traditional baseline projection, in the sense that it represents the market’s rough estimation of the “most likely future,” given the information available to market participants at a particular point in time. The MRS can serve as a substitute for the baseline for those external stakeholders (e.g. IFIs, fiscal authorities, and others) who rely on exogenously-provided projections when making their own planning decisions. Through the use of the MRS, the CBA provides the opportunity to markets to not only understand third-party forecasts of the “most likely” future, but also pay attention to those types of risks, uncertainties, and scenarios that can pose risks from the perspective of monetary policy and price stability (which are presented in the preceding Taxonomy). At the same time, this provides an opportunity to effectively communicate the logic and rationale behind CBA’s policy decisions under the prudent risk management approach.

Note: The CBA Macro Survey is conducted on a quarterly basis by the CBA. For the purposes of informing the Market Reference Scenario, participants are each asked to provide a macro-consistent scenario, including a qualitative description of the narrative underlying the scenario and associated Case A- and B-type risks, as well as accompanying quantitative 12-quarter-ahead projections for CPI inflation, real GDP growth, the CBA policy rate, and the nominal AMD/USD exchange rate. The Q4 2024 survey was carried out in September-October 2024 and featured responses from 18 commercial banks, 35 credit organizations, 8 insurance companies, 19 investment companies, and 1 fund manager.

Figure B.3.1: CPI Inflation

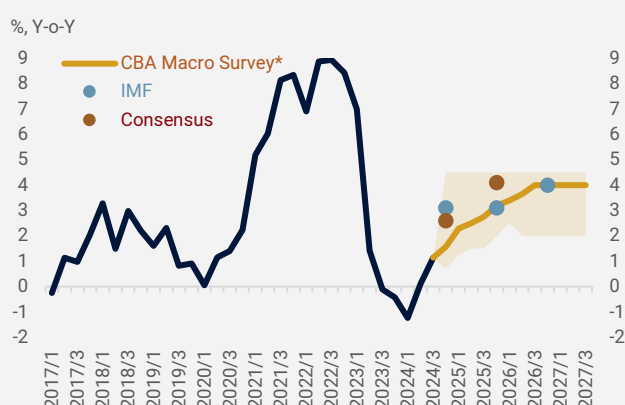


Figure B.3.3: Real GDP Growth Rate

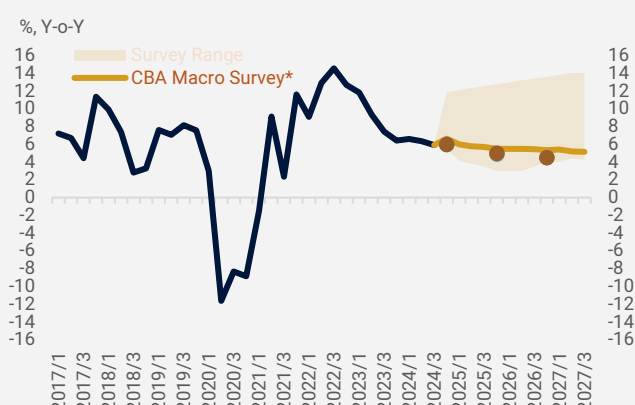


Figure B.3.2: CBA Policy Rate

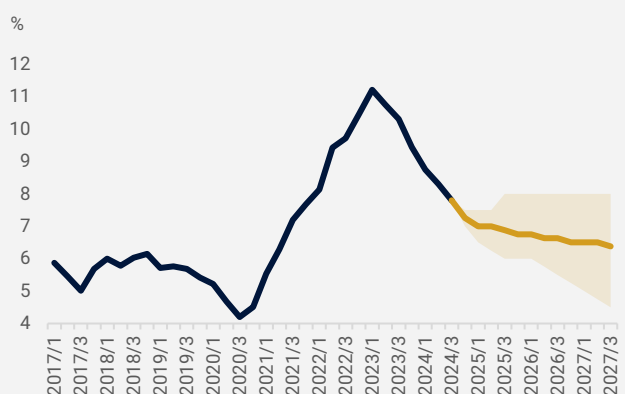
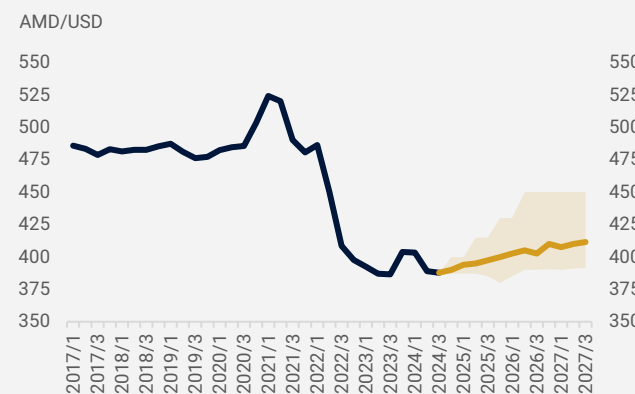


Figure B.3.4: Nominal AMD/USD Exchange Rate



Note: CBA Macro Survey shown as average of survey responses (line) and range between min and max responses (shaded area).

Table B.3.1: Summary of Third-Party Projections

Source Date	IMF Apr-24	CBA Macro Survey Q3 24	Consensus Sep-24
GDP Growth (Annual Rate, %)			
2023 (Actual)		8.7	
2024	6.0	6.6	6.0
2025	5.2	5.9	5.0
2026	4.5	5.5	4.5
Inflation (Annual Rate, %)			
2023 (Actual)		-0.6	
2024	3.1	2.5	0.3
2025	3.7	3.8	3.8
2026	4.0	4.0	4.1

F. Monetary Policy Outlook

Case A: Interest Rates above Market Expectations

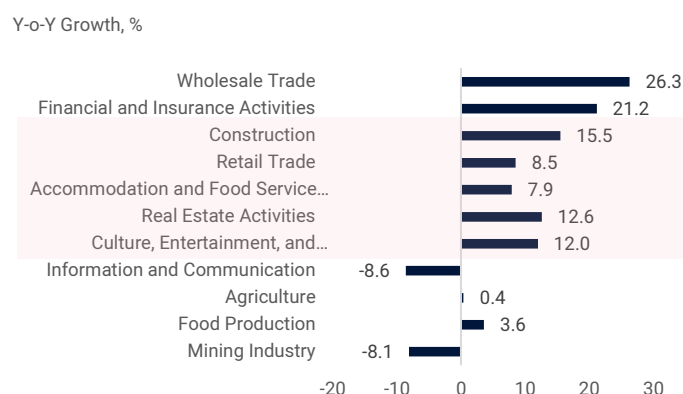
Uncertainties Regarding Demand Conditions In The Domestic Economy: Emerging Excess Demand Conditions In The Domestic Economy

Despite some weakening observed in recent quarters, economic growth in Armenia remains above most estimates of its long-term potential growth level, primarily driven by the expansion of domestic demand. From January to September 2024, economic activity was significantly boosted by sectors such as construction, real estate, culture, entertainment, retail trade, accommodation, and public catering, indicating strong domestic demand (Figure 3.F.1). However, these sectors have a limited impact on the future growth outlook of the economy. In contrast, certain export-oriented sectors are experiencing weak growth, while others still face a negative environment.

On the other hand, recent quarters have seen a significant acceleration in the growth of gross fixed capital formation (16.1% Y-o-Y growth in Q3 2024) and household consumption (9.6% growth) (Figure 3.F.2). These developments point to an expansion of domestic demand amid rising consumer confidence. Additionally, high savings have accumulated in the private sector in recent years, while positive trade developments have supported increased incomes. These, coupled with sustained growth in lending volumes (especially due to the banking system's high liquidity and the easing of the debt burden relative to private sector income—see Figure 3.D.4), could contribute to further expansion of domestic demand.

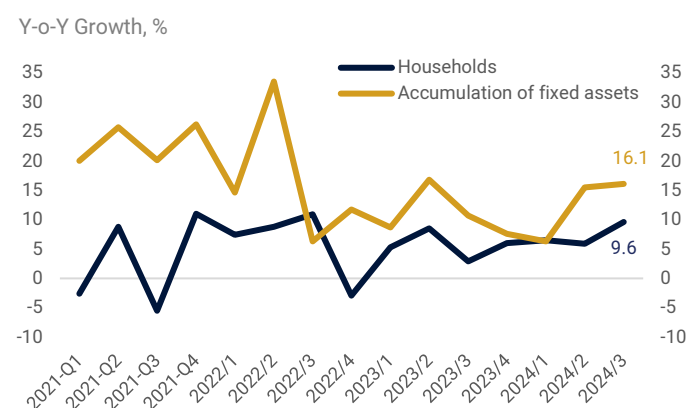
Considering these circumstances, the potential layering of additional positive forces—in the form of a more expansionary fiscal policy than anticipated for the current and upcoming years—could contribute to further growth in domestic demand. This is supported, for example, by the fact that tax revenues from January to October 2024 have somewhat underachieved the planned figures, while risks of further under-collection due to the structural characteristics of economic growth persist. Additionally, the implementation of social and other programs may create the need to utilize the reserve fund. As a result, fiscal policy could exert a significant impact on aggregate demand, leading to corresponding inflationary pressures. Additionally, the faster-than-expected growth in the national debt burden could introduce risks of a higher country risk premium. Such a scenario would likely result in a higher path for the CBA policy rate, in order to curb excess demand in the domestic economy and account for potential increase in Armenia's risk premium.

Figure 3.F.1: Economic Activity in Major Sectors, Cumulative, January-September 2024



Source: SCRA

Figure 3.F.2: Dynamics of Household Consumption and Capital Accumulation



Source: SCRA

Case B: Interest Rates below Market Expectations

Real Estate Market Adjustment: Potential Spillovers Domestic Demand and Prices.

In recent years, the absence of alternative investment options, high income growth, and significant mortgage subsidies have contributed to strong demand for real estate in Armenia. This has resulted in a sharp increase in real estate prices and the formation of potentially overvalued market conditions (Figure 3.F.3). As prices rose, supply began to gradually increase, reaching historically high levels in recent years (Figure 3.F.4). Despite the continued vibrancy of the mortgage market, some signs of natural, gradual adjustments in the real estate sector are beginning to emerge. Specifically, declines in permitting activity in Yerevan are already being observed, while a greater number of developments are reaching completion (Figure 3.F.5). This points to the fact that many projects underway are largely nearing completion, while fewer and fewer new, ground-up developments are being launched. In this environment, barring a commensurate increase in construction activity in RA regions, a cutback in new construction starts in Yerevan could lead to weakening activity in economic activity in construction and adjacent sectors.

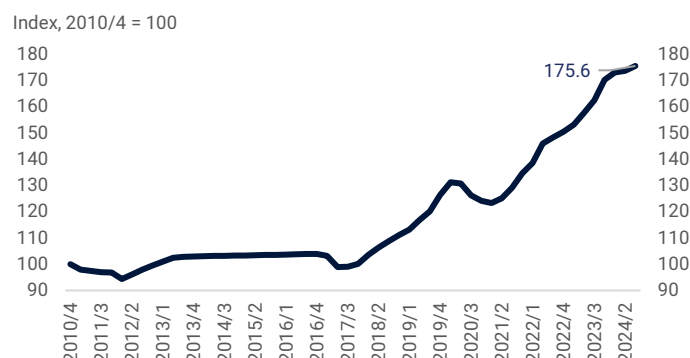
It is important to note that from the perspective of monetary policy, the risks associated with the real estate market are of particular importance due to the potential long-lasting and significant effects that fluctuations in the sector can have on the overall demand environment. Specifically, an increase in real estate prices can influence aggregate demand in several key ways:

- High prices encourage the initiation of new construction projects, thereby contributing to growth in related industries.
- As real estate constitutes a significant portion of the wealth for many households, an increase in prices boosts property owners' confidence and propensity to consume.
- Real estate, acting as collateral for loans, can also impact lending cycles.

In such a situation, to fulfill its mandate of achieving price stability while minimizing societal costs, the Central Bank would need to adopt a more aggressive and rapid reduction in the policy rate compared to current market expectations. Such action would aim to stimulate demand and bring inflation closer to the target over the medium term.

Due to high demand for real estate and a slow increase in supply, property prices have surged significantly.

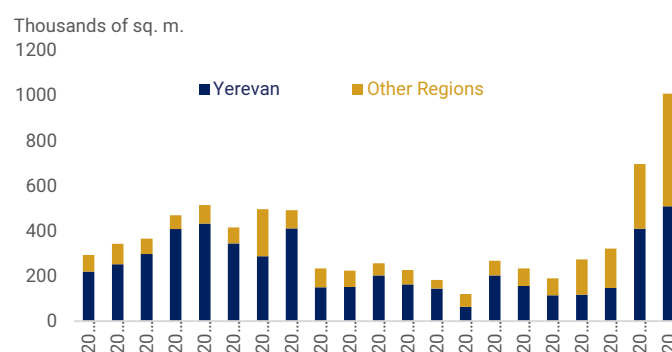
Figure 3.F.3: Real estate prices in Yerevan



Source: SCRA, CBA calculations

In response to elevated property prices, supply has steadily grown in recent years, reaching historically high levels.

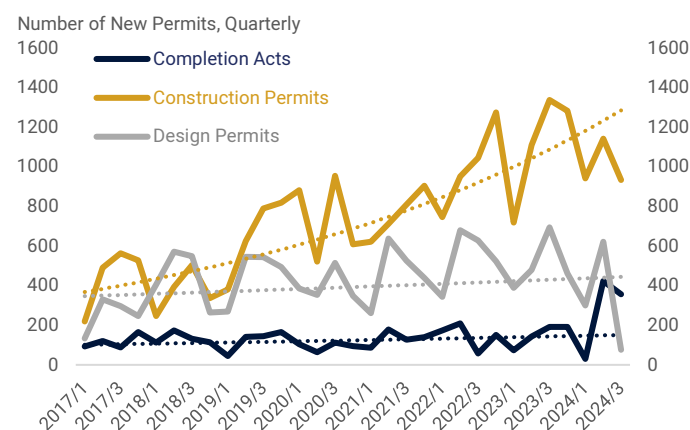
Figure 3.F.4: Dynamics of the area of residential property put into operation in RA.



Source: SCRA, CBA calculations

The sharp decline in construction permits and the notable increase in completion certificates in Yerevan indicate the conclusion of numerous ongoing projects and a scarcity of new developments.

Figure 3.F.5: Dynamics of design and construction permits and completion acts in Yerevan



Source: Yerevan Municipality

Summary of Illustrative Case A & Case B Macroeconomic Projections

Figure 3.F.6: Endogenous Interest Rate Path, %

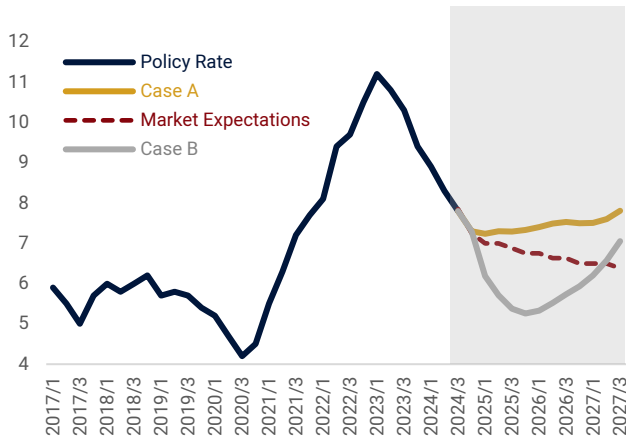


Figure 3.F.9: Non-Traded Sticky Price Inflation, Y-o-Y %

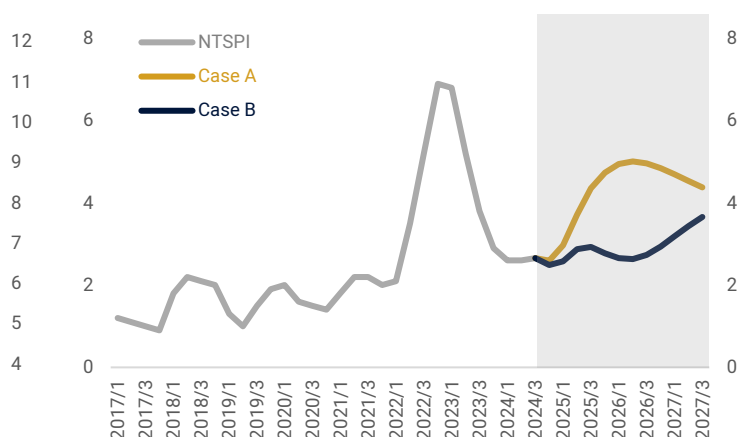


Figure 3.F.7: Real GDP Growth, Y-o-Y %

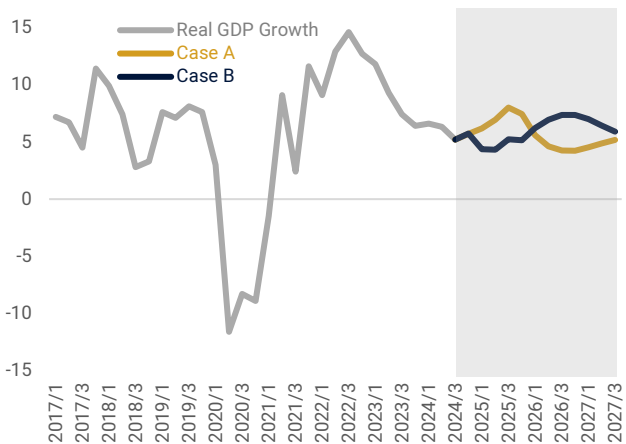


Figure 3.F.10: Output Gap, %

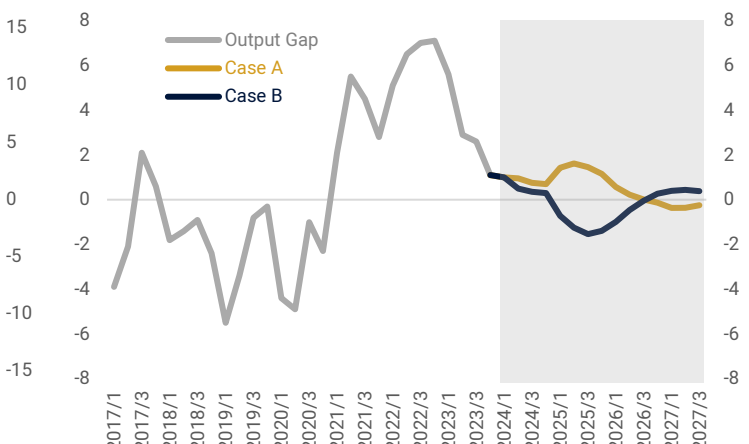


Figure 3.F.8: Headline CPI Inflation, Y-o-Y %

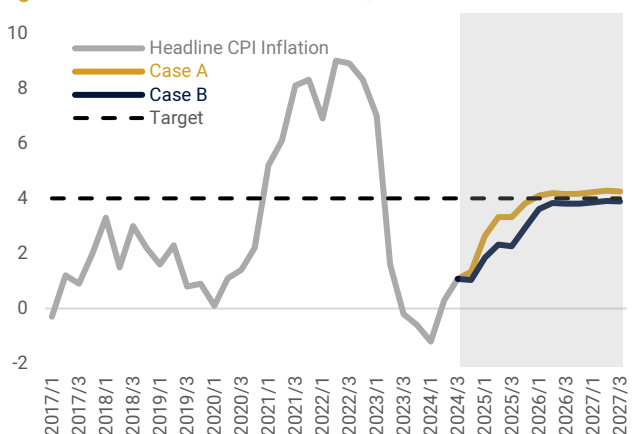


Figure 3.F.11: Real Interest Rate, %

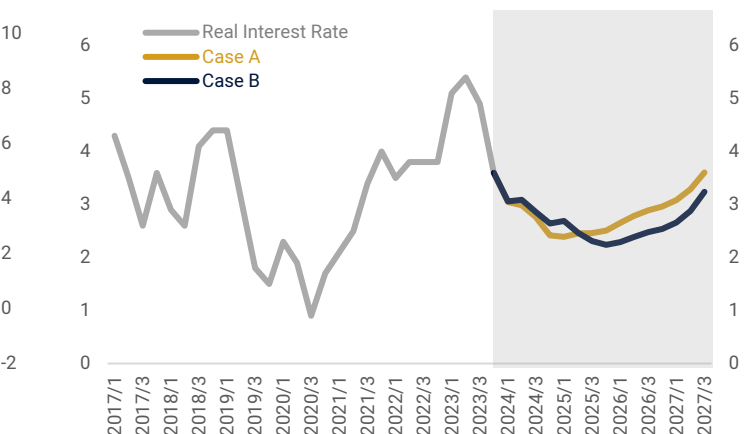


Figure 3.F.12: Nominal Effective Exchange Rate, Index

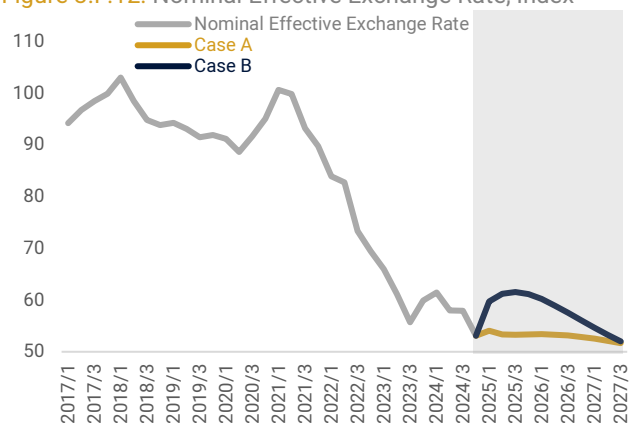


Figure 3.F.14: Model-Based 1-Year Ahead Inflation Expectations, Y-o-Y %

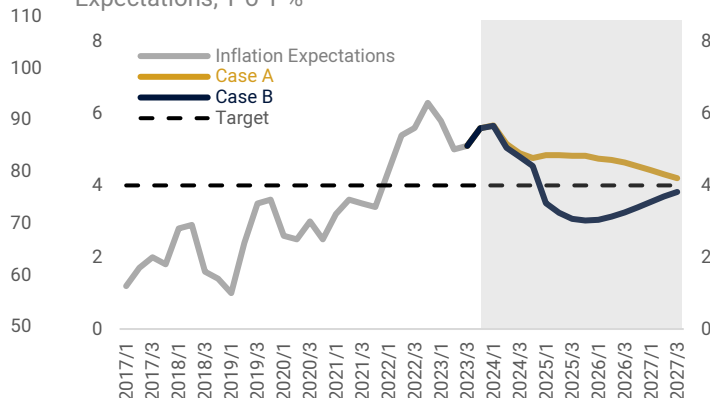


Figure 3.F.13: Real Effective Exchange Rate, Index

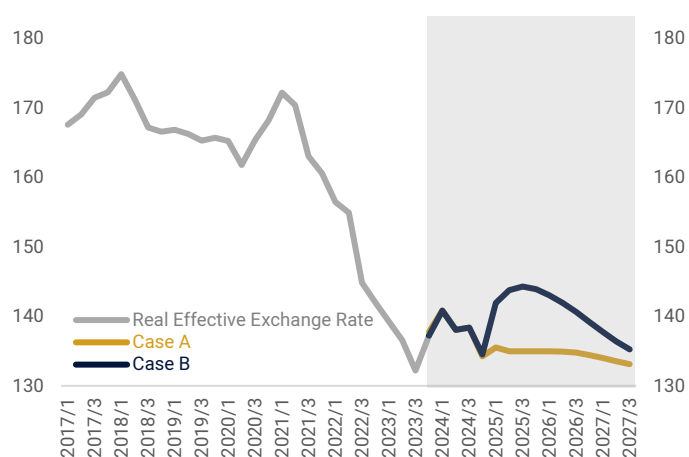


Table 3.F.1: Summary of Illustrative Macroeconomic Projections
Historical Data and Illustrative Case A & B Scenario Projections

		2022	2023	2024		2025		2026		2027	
		Actual	Actual	Case A	Case B	Case A	Case B	Case A	Case B	Case A	Case B
Global Economy											
USA economic growth	real growth, %	2.0	2.6	2.7	2.7	2.2	2.2	2.3	2.3	2.5	2.5
Eurozone economic growth	real growth, %	3.2	0.4	0.9	0.9	1.2	1.2	1.2	1.2	1.3	1.3
Russia economic growth	real growth, %	-2.0	3.0	3.7	3.7	0.6	0.6	1.7	1.7	1.6	1.6
USA inflation	average, %	7.7	4.0	2.9	2.9	2.2	2.2	2.3	2.3	2.3	2.3
EU inflation	average, %	8.0	5.4	2.4	2.4	2.2	2.2	2.1	2.1	2.0	2.0
Russia inflation	average, %	12.9	5.5	8.0	8.0	5.8	5.8	3	3	3.2	3.2
Oil price	dollar/barrel	99.5	82.6	81.3	81.3	79.2	79.2	79.0	79.0	79.0	79.0
Copper price	dollar/mt	8956	8472.1	9102.1	9102.1	9391.7	9391.7	9580.7	9580.7	9798.9	9798.9
FAO food price index	index	143.5	124.1	121.1	121.1	128.1	128.1	131.0	131.0	133.6	133.6
Domestic Economy											
Inflation											
Inflation	Y-o-Y, %, EOP	8.3	-0.6	2.1	1.6	3.9	3.2	4.2	3.8	4.0	4.0
CPI inflation	Y-o-Y, %, avg.	8.6	2.0	0.4	0.3	3.3	2.3	4.2	3.8	4.2	4.0
Non-traded sticky price inflation	Y-o-Y, %, avg.	4.5	4.8	2.6	2.6	4.0	2.8	4.9	2.7	4.5	3.5
Gross Income											
GDP	billion dram	8501.5	9453.2	10054.7	10048.6	11124.8	10774.3	12127.6	11963.2	13268.9	13196.7
GDP	real growth, %	12.6	8.3	6.0	6.0	7.1	4.8	4.7	7.0	5.0	6.2
Supply											

Table continued on the following page.

Historical Data and Illustrative Case A & B Scenario Projections (continued from previous page)

		2022	2023	2024		2025		2026		2027	
		Act.	Act.	Case A	Case B	Case A	Case B	Case A	Case B	Case A	Case B
Demand											
Consumption	real growth, %	4.3	9.0	6.1	5.3	11.2	4.1	4.9	5.7	4.7	5.7
Public consumption	real growth, %	-2.2	28.3	-5.9	-9.8	9.7	7.3	4.8	5.0	5.0	5.0
Private consumption	real growth, %	5.6	5.6	8.5	7.4	10.1	3.5	3.9	5.8	4.7	5.8
Gross accum. of fixed assets*	real growth, %	14.0	10.1	8.1	9.7	8.5	4.0	4.3	9.4	3.6	5.0
Public investment**	real growth, %	89.0	27.0	27.7	34.5	14.1	11.7	12.9	14.7	1.1	-0.5
Gross accumulation of private fixed assets	real growth, %	-1.1	3.6	5.6	5.6	12.3	1.4	5.1	7.6	4.3	6.5
Export of goods and services	real growth, %	59.9	30.7	26.5	28.3	-25.3	-16.3	2.1	6.1	3.2	4.5
Import of goods and services	real growth, %	35.0	30.2	27.8	25.7	-13.9	-20.7	4.4	0.2	2.3	2.6
Current Account											
Balance of trade	million USD	-147.2	-203.2	-444.1	-371.3	-1384.6	-849.5	-1331.5	-768.1	-1185.1	-991.8
Money transfers	million USD	1449.2	979.0	724.9	724.9	750.3	750.3	768.7	768.7	788.9	788.9
Current account	million USD	64.7	-556.3	-834.2	-714.5	-1356.8	-620.9	-1288.2	-874.0	-1065.4	-990.1
Balance of trade	share of GDP, %	-0.7	-0.8	-1.7	-1.5	-4.9	-3.4	-4.5	-2.8	-3.7	-3.2
Money transfers	share of GDP, %	7.3	4.1	2.8	2.8	2.7	3.0	2.6	2.8	2.5	2.5
Current account	share of GDP, %	0.3	-2.3	-3.3	-2.8	-4.8	-2.5	-4.4	-3.2	-3.4	-3.2
Public sector***											
Revenues and grants	billion dram	2046	2358.6	2,508.7	2,604.7	2,766.7	2,778.3	3,053.4	3,137.0	3,379.5	3,591.6
Tax revenue	billion dram	1926	2221.9	2,358.1	2,448.4	2,600.7	2,611.6	2,870.2	2,948.8	3,176.8	3,376.1
Expenditures	billion dram	2243.5	2550.2	3,110.2	3,096.5	3,516.5	3,441.6	3,718.4	3,812.1	3,884.3	4,086.8
Deficit	billion dram	-197.5	-191.6	-601.5	-491.8	-631.8	-610.3	-665.0	-675.1	-504.8	-495.2
Revenues and grants	share of GDP, %	24.1	24.8	25.0%	25.9%	24.9%	25.8%	25.2%	26.2%	25.5%	27.2%
Tax revenue	share of GDP, %	22.7	23.4	23.5%	24.4%	23.4%	24.2%	23.7%	24.6%	23.9%	25.6%
Expenditures	share of GDP, %	26.4	26.8	30.9%	30.8%	31.6%	31.9%	30.7%	31.9%	29.3%	31.0%
Deficit	share of GDP, %	-2.3	-2.0	-6.0%	-4.9%	-5.7%	-5.7%	-5.5%	-5.6%	-3.8%	-3.8%

* The Central Bank only presents the indicator of gross fixed asset accumulation instead of gross accumulation, since the change in tangible working capital inventories is calculated by Armenia's Statistics Committee as a balancing item and it does not show the true level of gross accumulation. See https://www.armstat.am/file/article/sv_04_19a_112.pdf.

** Actual indicators of public investment are the capital expenditures of the consolidated budget, and the estimates are based on a revised macro-framework, 2025-2027, available at the time.

*** The 2024 budget indicators are the Central Bank of Armenia estimate. The 2025-2027 indicators are presented from the state Mid-Term Expenditures Framework.

